

## MODULE 01

Introduction: Financial Management: Meaning and scope- objectives of Financial Management-role and functions of finance managers. Interface of Financial Management with other functional areas.

Indian Financial System: Structure-types-Financial markets- Financial Instruments - Financial institutions and financial services- Non-Banking Financial Companies (NBFCs). Emerging areas in Financial Management: Risk Management- Behavioural Finance- Financial Engineering- Derivatives (Theory).

**Meaning :** Financial management is the operational activity of a business that is responsible for obtaining and effectively utilizing the funds necessary for efficient business operations. It usually deals with financial planning, acquisition of funds, use and allocation of funds and financial controls.

Financial management is a specialized branch of management which is concerned with planning, obtaining and effectively utilizing the firm's financial resources.

### DEFINITION :

According to **J. F. Bradley**, "Financial management is the area of business management devoted to the judicious use of capital & careful selection of sources of capital in order to enable a spending unit to move in the direction of reaching its goals."

According to **J.L. Massie**, "financial management is the operational activity of a business that is responsible for obtaining and effectively utilizing the funds necessary for efficient business operations."

### SCOPE OR CONTENT OF FINANCE FUNCTION/FINANCIAL MANAGEMENT

The main objective of financial management is to arrange sufficient finances for meeting short-term and long-term needs. These funds are procured at minimum costs so that profitability of the business is maximised. With these things in mind, a Financial Manager will have to concentrate on the following areas of finance function.

| Scope/Content of Finance Function (Financial Management) |
|----------------------------------------------------------|
| 1. Estimating Financial Requirements                     |
| 2. Deciding Capital Structure                            |
| 3. Selecting Source of Finance                           |
| 4. Selecting Pattern of Investment                       |
| 5. Proper Cash Management                                |
| 6. Implementing Financial Controls                       |
| 7. Proper Use of Surpluses                               |

### **1. Estimating Financial Requirements :**

The first task of a financial manager is to estimate short-term and long-term financial requirements of his business. For this purpose, he will prepare a financial plan for present as well as for future. The amount required purchasing fixed assets as well as needs of funds for working capital will have to be ascertained. The estimations should be based on sound financial principles so that neither there are inadequate nor excess funds with the concern.

### **2. Deciding Capital Structure :**

The capital structure refers to the kind and proportion of different securities for raising funds. After deciding about the quantum of funds required it should be decided which type of securities should be raised. It may be wise to finance fixed assets through long-term debts. Even here if gestation period is longer, then capital may be most suitable. Long-term funds should be employed to finance capital also, if not wholly then partially. Entirely depending upon overdrafts and cash credits for meeting working capital needs may not be suitable. A decision about sources for funds should be linked to the cost of raising funds.

### **3. Selecting a Source of Finance :**

Selecting a Source of Finance. After preparing a capital structure, an appropriate source of finance is selected. Various sources from which finance may be raised, include share capital, debentures, financial institutions, commercial banks, public deposits, etc. If finances are needed for short periods then banks, public deposits and financial institutions may be appropriate, on the other hand, if long-term finances are required then share capital debentures may be useful. If the concern does not want to tie down assets as securities then public deposits may be a suitable source. If management does not want to dilute and ownership then debentures should be issued in preference to shares. The need, purpose, object and cost involved may be the factors influencing the selection of a suitable source of financing.

### **4. Selecting a pattern of Investment :**

When funds have been procured then a decision about investment pattern is to be taken. The selection of an investment pattern is related to the use of funds. A decision will have to be taken as to which assets are to be purchased? The funds will have to be spent first on fixed assets and then an appropriate portion will be retained for working capital. Even in various categories of assets, a decision about the type of fixed or other assets will be essential. While selecting a plant and machinery, different categories of them may be available. The decision-making techniques such as Capital Budgeting, Opportunity Cost Analysis etc. may be applied in making decisions about capital expenditures. While spending on various assets, the principles of safety, profitability and liquidity should not be ignored. A balance should be struck even in these principles. One may not like to invest on a project which may be risky even though there may be more profits.

### **5. Proper cash management :**

Cash management is also an important task of finance manager. arrangements for payments to He has to assess various cash needs at different times and then make arranging cash. Cash may be required to (a) purchase raw materials, (b) make payments to creditors, (c) meet wage bills; (d) meet day-to-day expenses. The usual sources of cash may be: (a) cash

sales, (b) collection of debts, (c) short-term arrangements with banks etc. The cash management should be such that neither there is a shortage of it and nor it is idle. Any shortage of cash will damage the creditworthiness of the enterprise. The idle cash with the business will mean that it is not properly used. It will be better if Cash Flow Statement is regularly prepared so that one is able to find out various sources and applications. If cash is spent on avoidable expenses then such spending may be curtailed. A proper idea on sources of cash inflow may also enable to assess the utility of various sources. Some sources may not be providing that much cash which we should have thought. All this information will help in efficient management of cash.

#### **6. Implementing Financial Controls :**

An efficient system of financial management necessitates the use of various control devices. Financial control devices generally used are: (a) Return on investment, (b) Budgetary Control, (c) Break Even Analysis, (d) Cost Control, (e) Ratio Analysis (f) Cost and Internal Audit. Return on investment is the best control device to evaluate the performance of various financial policies. The higher this percentage, better may be the financial performance. The use of various control techniques by the finance manager will help him in evaluating the performance in various areas and take corrective measures whenever needed.

#### **7. Proper Use of Surpluses :**

The sitisation of proms of surprises is also an important factor in financial management. A judicious use of surpluses is essential for expansion and diversification plans and also in protecting the interests of shareholders. The ploughing back of profits is the best policy of further financing but it clashes with the interests of shareholders. A balance should be struck in using funds for paying dividend and retaining earnings for financing expansion plans, etc. The market value of shares will also be influenced by the declaration of dividend and expected profitability in future. A finance manager should consider the influence of various factors, such as: (a) trend of earnings of the enterprise, (b) expected earnings in future, (c) market value of shares, (d) need for funds for financing expansion, etc. A judicious policy for distributing surpluses will be essential for maintaining proper growth of the unit.

### **NATURE OF FINANCIAL MANAGEMENT :**

Financial management refers to that part of business activity which is concerned with the procurement and utilization of financial resources.

**1. Specialised Branch of General Management :** Financial management is a specialized branch of general management like production, marketing, human resource etc. It is concerned with planning and controlling of firm's financial resources

**2. Integral Part of Management :** Financial management is an integral part of overall management. It is pervasive throughout the organisation as all activities of a firm, need finance. Thus, it occupies the central position in the organisation.

**3. Both an Art as well as a Science :** Financial management is neither a pure art nor a pure science. It is both a science as well as an art. It has certain well defined principles and uses various methods and techniques like capital budgeting, statistical and mathematical models and computer applications. It is also an art as practiced by the financial managers. It requires certain skills in decision making.

**4. Growing as a Profession :** Financial management has emerged as a separate discipline of study and is fast growing as a profession. It provides a variety of financial services like planning, acquisition and effective utilization of financial resources for long-term as well as short-term financial needs of a firm.

**5. Multidisciplinary Approach :** Financial management is a multidisciplinary approach. It depends upon other disciplines like economics, accounting etc.

**6. Involves Risk-Return Trade off :** Financial management is concerned with investment, financing and dividend decisions of a firm. All these decisions are inter related and involve trade off between risk and return. An efficient financial management has to take decision in relation to its effect on the shareholder's wealth.

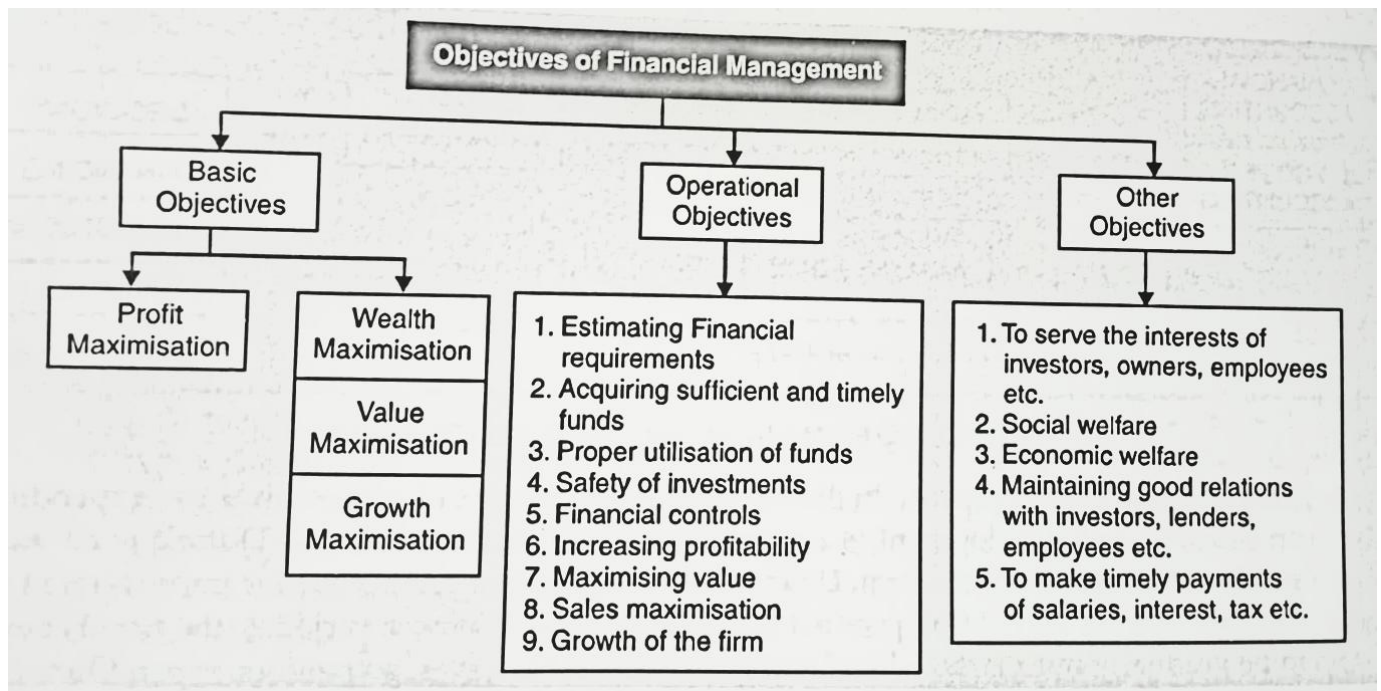
**7. Focus on Valuation of the Firm :** The main focus of financial management is towards maximizing the value of the firm. It includes the maximisation of stockholder's wealth as well as other financial claimholders such as debenture holders, preferred stockholder, etc.

**8. Organic Function :** Financial management is an organic function that is needed by all organizations whether business or non-business, big or small, sole proprietary or corporate form or organisation.

**9. Attainment of Common Objectives of a Firm :** Financial management helps in the attainment of common objectives of an enterprise by maximizing the profits and wealth of its stakeholders.

**10. Backbone of Commerce and Industry :** Financial management is not only an essential function for the survival, growth and expansion of a firm, it is also a backbone of commerce and industry of a nation.

## OBJECTIVES OF FINANCIAL MANAGEMENT :



### I. Basic Objectives :

#### 1. Profit Maximisation

Profit maximisation is the traditional objective of financial management. It refers to maximizing the net profit of the firm.

- It aims at increasing revenue while minimizing costs.
- Profit is a key indicator of business efficiency and performance.
- Higher profits ensure survival, growth, and competitiveness of the firm.
- It helps in attracting investors and increasing retained earnings.

#### Limitations:

- Ignores risk and uncertainty.
- Does not consider the timing of profits.
- May lead to short-term decision-making at the cost of long-term sustainability.

#### 2. Wealth Maximisation

Wealth maximisation is the modern and superior objective of financial management. It focuses on maximizing the market value of shareholders' wealth.

- It is measured by the increase in the market price of shares.
- Takes into account **risk, timing, and sustainability** of returns.

- Ensures long-term growth and stability of the firm.
- Aligns management decisions with shareholders' interests.

$$\text{Stockholders' Wealth} = \text{Number of Shares} \times \text{Market Price per Share}$$

$$\text{Shareholders' Wealth} = N \times P$$

Where:

- N = Number of shares
- P = Market price per share

#### Importance:

- Leads to efficient allocation of resources.
- Enhances investor confidence.
- Reflects true financial performance of the firm.

### 3. Value Maximisation

Value maximization refers to the objective of increasing the **overall value of the firm**. It focuses on maximizing the **present value of future cash flows** generated by the business.

- It considers both **shareholder wealth and firm value**.
- Involves maximizing the present value of future cash flows.
- Focuses on strategic decisions like mergers, acquisitions, and investments.
- Helps in improving firm reputation and market standing.
- Comprehensive Approach :Considers all financial decisions:
  - Investment decisions
  - Financing decisions
  - Dividend decisions

### 4. Growth Maximization

Growth maximisation is one of the very important objectives of a firm. Once the smooth running of business starts, the objective of the firm shifts to growth maximisation from profit or wealth maximisation. Growth means expansion. This expansion may be increase in sales volume, market share or returns on investment.

If the firm is a single product firm or company, the type of growth or expansion may take the following shape:

- (i) Increase in sales by exploring new market for the same product.
- (ii) To add more features in the existing product so that every time the consumer gets some advantage over the previous one and he is willing to buy the product.

- (iii) Offering discounts, exchange schemes, coupons, scratch card etc. to increase the sales.
- (iv) Making the consumer aware of the new uses of the same product.
- (v) Creating international demand of the product.
- (vi) Assurance of supply of the product as and when demand is there.
- (vii) Creating large scale economics to get the advantages of reduced costs.

## **II. Operational Objectives :**

### **1. Estimating Financial Requirements**

This involves assessing the total funds required for both short-term and long-term needs of the firm. It includes estimating capital for fixed assets and working capital. Proper estimation avoids shortage or excess of funds and ensures smooth business operations.

### **2. Acquiring Sufficient and Timely Funds**

The firm must arrange adequate funds at the right time to meet its needs. Delays in financing can disrupt operations and growth plans. The finance manager selects suitable sources like equity, debt, or banks to raise funds at minimum cost.

### **3. Proper Utilisation of Funds**

Funds should be used efficiently to maximize returns. Misuse or idle funds can reduce profitability. Investment decisions should be based on careful analysis to ensure optimum use of resources.

### **4. Safety of Investments**

The finance manager must ensure that investments are secure and risks are minimized. High returns should not come with excessive risk. Diversification and careful evaluation help protect the firm's capital.

### **5. Financial Controls**

Financial control involves monitoring and evaluating financial activities of the firm. Tools like budgeting, ratio analysis, and audits are used to identify deviations. This helps in taking corrective actions and maintaining discipline.

### **6. Increasing Profitability**

The firm aims to increase its profits through efficient operations and cost control. Higher profitability ensures sustainability and growth. It also improves investor confidence and overall performance.

### **7. Maximising Value**

This objective focuses on increasing the overall value of the firm. It considers long-term benefits rather than short-term profits. Decisions are made to enhance shareholders' wealth and firm value.

### **8. Sales Maximisation**

The firm aims to increase its sales volume to achieve growth. Higher sales improve market share and revenue. However, sales should be profitable and sustainable for long-term success.

### **9. Growth of the Firm**

Growth refers to expansion in size, assets, and market presence. It ensures long-term survival and competitiveness. Growth is achieved through innovation, expansion, and diversification strategies.

## **III. OTHER OBJECTIVES :**

### **1. To Serve the Interests of Investors, Owners, Employees, etc.**

Financial management aims to balance the interests of all stakeholders such as shareholders, employees, creditors, and customers. Investors expect good returns, while employees seek fair wages and job security. Creditors want timely repayment of loans. The finance manager must ensure that no group's interest is ignored. Proper financial decisions help in maintaining trust among all parties. This leads to long-term stability and smooth functioning of the firm.

### **2. Social Welfare**

A firm is a part of society and has certain social responsibilities. Financial management should ensure that business activities do not harm society. It should promote ethical practices, environmental protection, and fair pricing. Funds should also be used for corporate social responsibility (CSR) activities. Contributing to social welfare improves the company's public image. It helps in building goodwill and long-term acceptance.

### **3. Economic Welfare**

Financial management contributes to the overall economic development of the country. Efficient use of resources leads to increased production and employment opportunities. It helps in optimal allocation of capital in productive sectors. This improves national income and economic growth. By paying taxes and supporting industries, firms contribute to the economy. Thus, financial decisions should support broader economic welfare.

#### **4. Maintaining Good Relations with Investors, Lenders, Employees, etc.**

Maintaining good relationships with stakeholders is essential for business success. The firm must ensure transparency and fairness in financial dealings. Timely communication and proper financial reporting build confidence. Good relations with lenders help in easy access to funds. Healthy relations with employees improve productivity and morale. Overall, strong relationships ensure smooth operations and long-term growth.

#### **5. To Make Timely Payments of Salaries, Interest, Tax, etc.**

One important objective is to ensure timely payment of all financial obligations. This includes salaries to employees, interest to lenders, and taxes to the government. Delay in payments can harm the firm's reputation and credibility. It may also lead to legal consequences and penalties. Proper cash management helps in meeting these obligations on time. This ensures financial discipline and smooth functioning of the business.

### **ROLE OR FUNCTIONS OF FINANCE MANAGER :**

#### **1. Financial Forecasting and Planning.**

A financial manager has to estimate the financial needs of a business. How much money will be required for acquiring various assets? The amount will be needed for purchasing fixed assets and meeting working capital needs. He has to plan the funds needed in the future. How these funds will be acquired and applied is an important function of a finance manager.

#### **2. Acquisition of Funds.**

After making financial planning, the next step will be to acquire funds. There are a number of sources available for supplying funds. These sources may be shares, debentures, financial institutions, commercial banks, etc. The selection of an appropriate source is a delicate task. The choice of a wrong source for funds may create difficulties at a later stage. The pros and cons of various sources should be analysed before making a final decision.

#### **3. Investment of Funds.**

The funds should be used in the best possible way. The cost of acquiring them and the returns should be compared. The channels which generate higher returns should be preferred. The technique of capital budgeting may be helpful in selecting a project. The objective of maximising profits will be achieved only when funds are efficiently used and they do not remain idle at any time.

#### **4. Helping in Valuation Decisions.**

A number of mergers and consolidations take place in the present competitive industrial world. A finance manager is supposed to assist management in making valuation etc. For this purpose, he should understand various methods of valuing shares and other assets so that correct values are arrived at.

### **5. Maintain Proper Liquidity.**

Every concern is required to maintain some liquidity for meeting day-to-day needs. Cash is the best source for maintaining liquidity. It is required to purchase raw materials, pay workers, meet other expenses, etc. A finance manager is required to determine the need for liquid assets and then arrange liquid assets in such a way that there is no scarcity of funds.

### **6. Management of Cash, Receivables and Inventory.**

Finance manager is required to determine the quantum and manage the various components of working capital such as cash, receivables and inventories. On the one hand, he has to ensure sufficient availability of such assets as and when required, and on the other there should be no surplus or idle investment.

### **7. Disposal of Surplus.**

A finance manager is also expected to make proper utilisation of surplus funds. He has to make a decision as to how much earnings are to be retained for future expansion and growth and how much to be distributed among the shareholders.

### **8. Performance Evaluation and Financial Control.**

Performance evaluation is regarded as one of the most important function of a finance manager. It acts as the basis of financial control. Periodic comparisons of actual costs, revenues, profits and investments with the budgeted costs, revenues, profits and investments help the finance manager in taking decisions about future actions.

### **9. Tax Planning.**

A finance manager also acts as a tax planner of the firm and has to take financial decisions in the light of impact of taxation on the wealth of shareholders/owners. The finance manager has to plan and minimize the outflows of cash in the form of taxes.

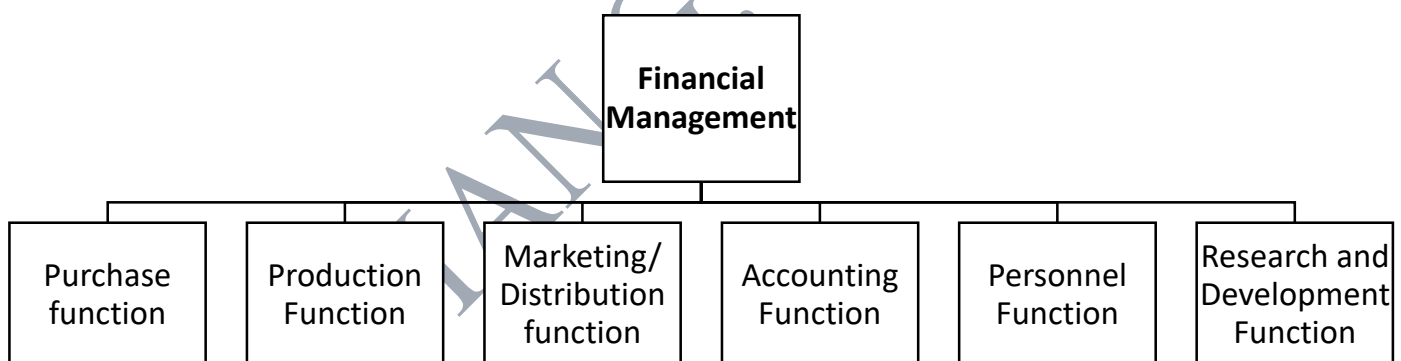
## **Interface of Financial Management with other functional areas :**

### **1. Purchase Function :**

Materials required for production of commodities should be procured on economic terms and should be utilised in efficient manner to achieve maximum productivity. In this function the finance manager plays a key role in providing finance. In order to minimise cost and exercise maximum control, various material management techniques such as economic order quantity (EOQ), determination of stock level, perpetual inventory system etc. are applied. The task of the finance manager is to arrange the availability of cash when the bills for purchase become due.

### **2. Production Function :**

Production function occupies the dominant position in business activities and it is a continuous process. The production cycle depends largely on the marketing function because production is justified when they are resulted in revenues through sales. Production function involves heavy investment in fixed assets and



in working capital. Naturally, a tighter control by the finance manager on the investment in productive assets becomes necessary. It must be seen that there is neither over-capitalisation nor under-capitalisation.

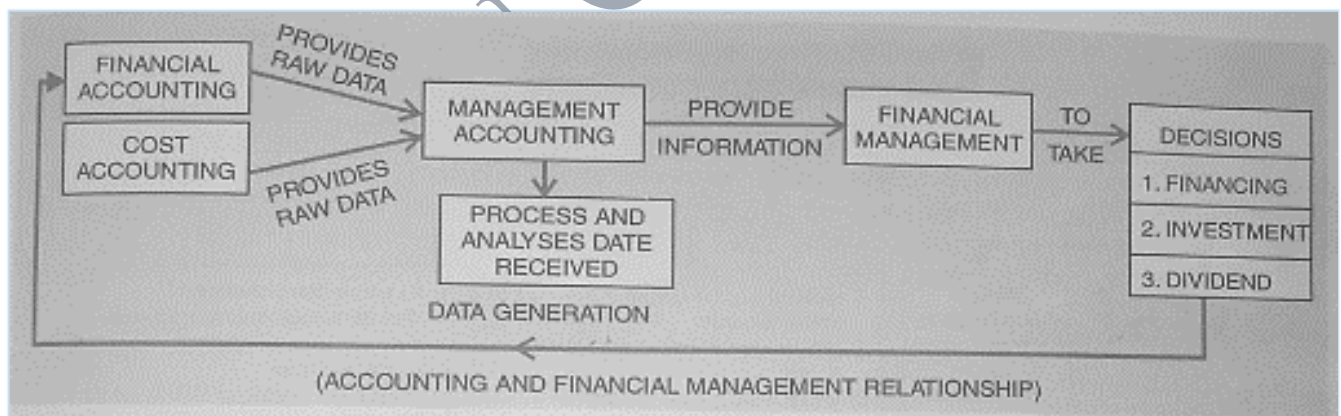
### **3. Marketing/Distribution Function :**

As goods produced are meant for sale, distribution function is an important business activity. It is more important because it provides continuous inflow of cash to meet the outflow thereof. So, while choosing different distributing

channels, media of advertisement and sales promotion devices, the cost benefit criterion should be the guiding factor. The marketing personnel should take the responsibility of managing and developing the growth of business while the finance people should work closely with them to monitor trends in the business as well as manage the efficiency of marketing initiatives. Poor financial management affects adversely the ability to get finances required for growth of the business in future. It also puts restrictions on availability of funds for the marketing activities and hence lowers the growth of business.

#### 4. Accounting Function :

Charles Gastenberg visualises the influence of scientific arrangement of records, with the help of which inflow and outflow of funds can be efficiently managed and stocks and bonds can be efficiently marketed. Moreover, the efficiency of the whole organisation can be greatly improved with correct recording of financial data. All the accounting tools and control devices, necessary for appraisal of finance policy can be correctly formulated if the accounting data are properly recorded. For example, the cost of raising funds, expected returns on the investment of such funds, liquidity position, forecasting of sales, etc. can be effectively carried out if the financial data so recorded are reliable. Hence, the relationship between accounting and finance is intimate and the finance manager has to depend heavily on the accuracy of the accounting data.



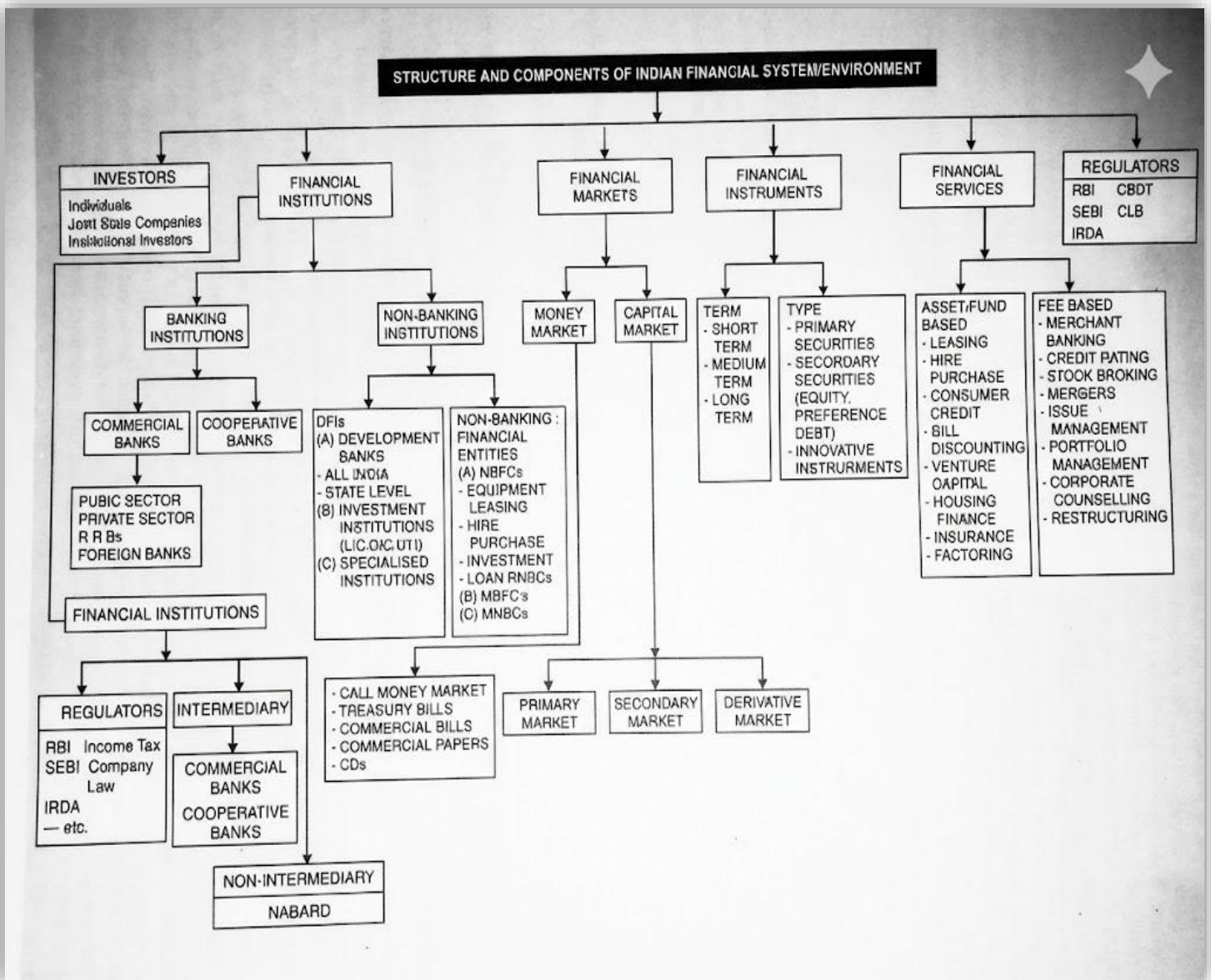
#### 5. Personnel Function :

Personnel function has assumed a prominent place in the domain of business management. No business function can be carried out efficiently unless there is a sound personnel policy backed up by efficient management of personnel. A sound personnel policy includes proper wage structure, incentives schemes, promotional opportunity, human resource development and other fringe benefits provided to the employees. All these matters affect finance. But the finance

manager should know that organisation can afford to pay only what it can bear. It means that expenditure incurred on personnel management and the expected return on such investment through labour productivity should be considered in framing a sound personnel policy. Therefore, the relation between the finance and personnel department should be intimate.

## **6. Research and Development :**

In the world of innovations and competitiveness, expenditure on research and development is a productive investment and R and D itself is an aid to survival and growth of the firm. Unless there is a constant endeavour for improvement and sophistication of an existing product and introduction of newer varieties, the firm is bound to be gradually out marketed and out of existence. However, sometimes expenditure on R and D involves a heavier amount, disproportionate to the financial capacity of the firm. In such a case, it financially cripples the enterprise and the expenditure ultimately ends in a fiasco. On the other hand, heavily cutting down expenditure of R and D blocks the scope of improvement and diversification of the product. So, there must be a balance between the amount necessary for continuing R and D work and the funds available for such a purpose. Usually, this balance is struck out by joining efforts of finance manager and the person at the helm of R&D.



## INVESTORS :

### 1. Individuals (Retail Investors)

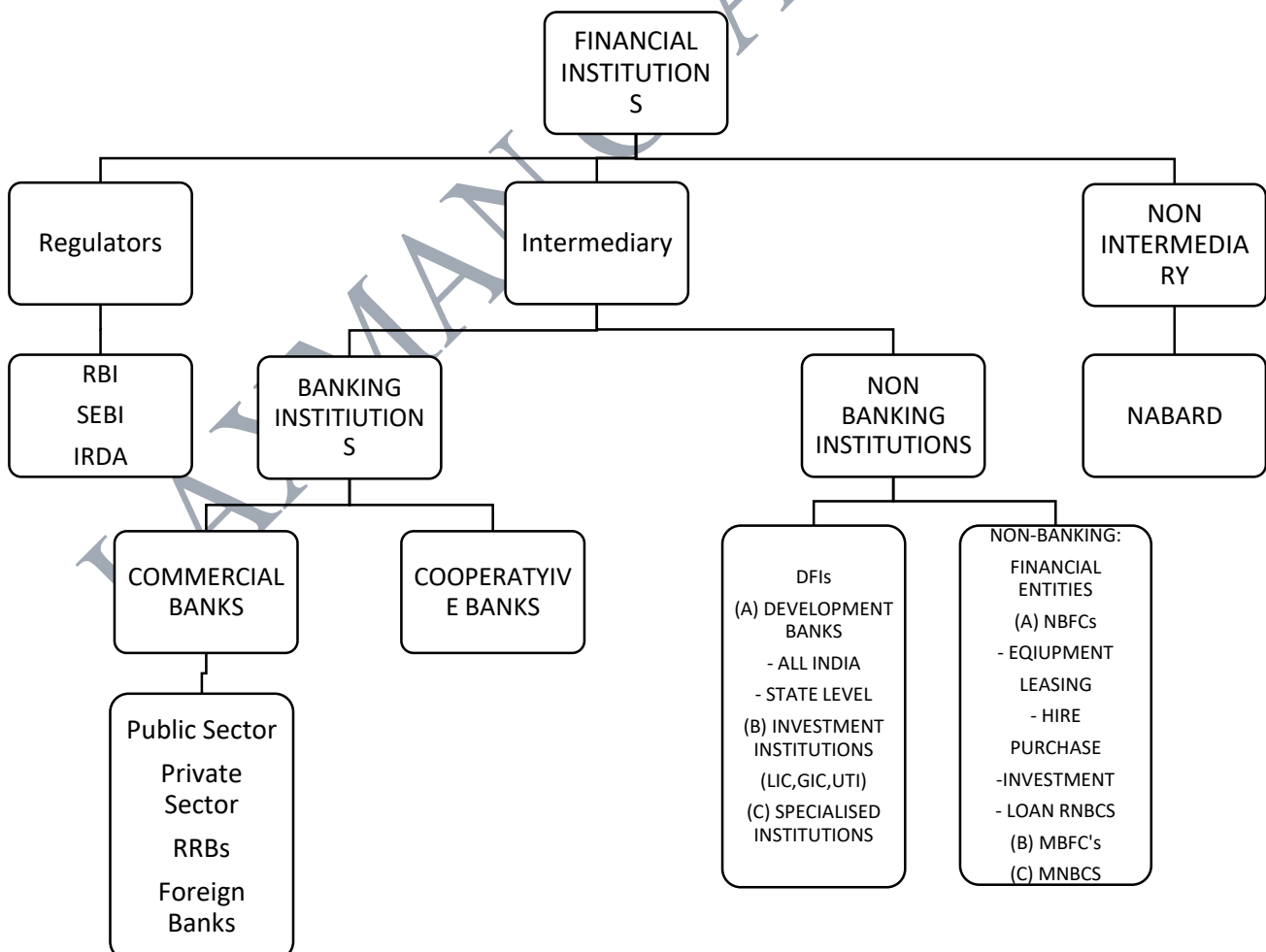
Individuals are small or retail investors who invest their personal savings in financial markets. They purchase shares, debentures, bonds, and other securities to earn returns. Their investment decisions are usually influenced by risk appetite, income level, and market knowledge. They play an important role in providing capital to companies. However, their investment capacity is generally limited compared to institutions. They contribute to market liquidity and participation.

## 2. Joint Stock Companies

Joint stock companies invest surplus funds in financial markets as part of their financial strategy. These companies may invest in shares, bonds, or other securities of other firms. The objective is to earn returns, diversify risk, or gain strategic control. Such investments are usually planned and large in size. They are managed by financial experts within the company. This type of investment strengthens inter-corporate relationships and capital flow.

## 3. Institutional Investors

Institutional investors include banks, insurance companies, mutual funds, pension funds, etc. They invest large amounts of money on behalf of others. These investors have professional expertise and follow systematic investment strategies. Their decisions significantly influence market trends and prices. They prefer diversified and low-risk portfolios. Institutional investors play a major role in stabilizing and developing financial markets.



## **FINANCIAL INSTITUTIONS**

### **I. Regulators**

Regulators are organizations that make rules and monitor financial institutions to protect investors, customers, and the economy.

#### **Examples in India:**

- Reserve Bank of India (RBI) – regulates banks and monetary policy
- Securities and Exchange Board of India (SEBI) – regulates stock markets
- Insurance Regulatory and Development Authority of India (IRDAI) – regulates insurance sector
- Pension Fund Regulatory and Development Authority (PFRDA) – regulates pension funds

### **Reserve Bank of India (RBI)**

The Reserve Bank of India (RBI) is the central bank and apex financial institution of India. It was established on 1 April 1935 under the Reserve Bank of India Act, 1934, and was nationalized in 1949 after India's independence. The headquarters of RBI is located in Mumbai, Maharashtra. RBI plays a vital role in regulating the banking system, controlling monetary policy, maintaining financial stability, and supporting the economic development of the country. It acts as the backbone of the Indian financial system by ensuring smooth functioning of banks and maintaining public confidence in the economy.

#### **Functions of RBI**

##### **1. Banker to the Government**

RBI acts as the banker, agent, and financial advisor to the Central and State Governments. It manages government accounts, receives and makes payments on behalf of the government, and helps in raising public debt through government securities. RBI also provides financial advice to the government on economic and monetary matters. This function helps the government manage its finances efficiently and maintain economic stability.

##### **2. Banker's Bank**

RBI functions as the bank for all commercial banks in India. Commercial banks are required to keep a certain portion of their reserves with RBI. It provides financial assistance to banks during emergencies and acts as the lender of last resort. RBI also facilitates interbank transactions and ensures liquidity in the banking system. This function strengthens the stability and confidence of the banking sector.

##### **3. Issue of Currency**

RBI has the exclusive authority to issue and manage currency notes in India, except the one-rupee note and coins, which are issued by the Government of India. It ensures adequate supply

of currency in the economy according to public demand. RBI also takes measures to remove counterfeit notes and maintain the quality of currency circulation. This function helps maintain public trust in the Indian monetary system.

#### **4. Controller of Credit and Monetary Policy**

RBI controls the supply of money and credit in the economy through monetary policy instruments such as repo rate, reverse repo rate, CRR, and SLR. It aims to control inflation, stabilize prices, and promote economic growth. By regulating the availability and cost of credit, RBI influences borrowing and investment activities. This function is essential for maintaining economic balance and financial discipline.

#### **5. Regulator and Supervisor of Banks**

RBI regulates and supervises commercial banks and financial institutions to ensure their proper functioning. It issues banking licenses, sets rules and guidelines, and monitors banking operations regularly. RBI ensures that banks follow ethical and safe banking practices to protect depositors' interests. This supervision helps maintain transparency, efficiency, and stability in the financial system.

#### **6. Custodian of Foreign Exchange Reserves**

RBI manages India's foreign exchange reserves and regulates foreign exchange transactions under the Foreign Exchange Management Act (FEMA). It maintains stability in the foreign exchange market and ensures smooth international trade and payments. RBI intervenes in currency markets when necessary to control excessive fluctuations in exchange rates. This function supports external stability and strengthens India's international financial position.

#### **7. Promotion of Financial Stability and Development**

RBI works to maintain overall financial stability and encourages the development of the financial sector. It promotes financial inclusion by supporting banking services in rural and underdeveloped areas. RBI also introduces reforms and digital payment systems to modernize the financial system. Through these measures, RBI contributes to sustainable economic growth and development in India.

### **Securities and Exchange Board of India (SEBI)**

The Securities and Exchange Board of India (SEBI) is the regulatory authority of the Indian securities market. It was established on 12 April 1988 and was given statutory powers in 1992 through the SEBI Act, 1992. The headquarters of SEBI is located in Mumbai, Maharashtra. SEBI plays an important role in regulating and developing the stock market and protecting the interests of investors. It ensures transparency, fairness, and efficiency in the securities market and helps maintain confidence among investors and financial institutions.

## **Functions of SEBI**

### **1. Protection of Investors**

SEBI protects the interests of investors by ensuring fair practices in the securities market. It prevents fraudulent activities, insider trading, and market manipulation that may harm investors. SEBI also creates awareness among investors regarding investment risks and rights. This function helps build investor confidence and encourages participation in the capital market.

### **2. Regulation of Stock Markets**

SEBI regulates stock exchanges and securities markets in India to ensure smooth and transparent functioning. It frames rules and guidelines for trading activities and monitors market operations regularly. SEBI ensures that stock exchanges follow proper procedures and maintain discipline in trading. This function promotes efficiency and stability in the capital market.

### **3. Regulation of Intermediaries**

SEBI supervises and regulates market intermediaries such as stock brokers, merchant bankers, mutual funds, portfolio managers, and credit rating agencies. It grants registration and licenses to these intermediaries and ensures that they comply with SEBI regulations. SEBI also takes disciplinary action against those violating market rules. This function maintains professionalism and ethical conduct in the financial market.

### **4. Prevention of Unfair Trade Practices**

SEBI takes strict measures to prevent unfair trade practices such as insider trading, price rigging, and misleading information in the securities market. It conducts investigations and imposes penalties on individuals or institutions involved in illegal activities. SEBI ensures that all investors receive equal and accurate information. This function promotes transparency and fairness in the market.

### **5. Regulation of Mutual Funds and Collective Investment Schemes**

SEBI regulates mutual funds and collective investment schemes to safeguard investors' money. It frames rules regarding fund management, disclosure requirements, and investment practices. SEBI monitors the activities of asset management companies to ensure proper utilization of funds. This function helps maintain trust and security in investment schemes.

### **6. Promotion and Development of Securities Market**

SEBI works towards the growth and modernization of the Indian securities market. It introduces reforms, technological advancements, and innovative financial products to improve market efficiency. SEBI also promotes electronic trading systems and strengthens market infrastructure. This function contributes to the development and global competitiveness of the Indian capital market.

## **7. Regulatory and Advisory Role**

SEBI advises the government on matters related to the securities market and capital market reforms. It formulates policies and regulations to improve market operations and investor protection. SEBI continuously reviews and updates its regulations according to changing market conditions. This function ensures the healthy growth and proper governance of the securities market in India.

## **Insurance Regulatory and Development Authority of India (IRDAI)**

The Insurance Regulatory and Development Authority of India (IRDAI) is the regulatory body responsible for supervising and regulating the insurance sector in India. It was established in 1999 under the Insurance Regulatory and Development Authority Act, 1999. The headquarters of IRDAI is located in Hyderabad, Telangana. IRDAI plays a crucial role in protecting the interests of policyholders, ensuring the orderly growth of the insurance industry, and promoting transparency and efficiency in insurance services. It regulates both life insurance and general insurance companies operating in India.

### **Functions of IRDAI**

#### **1. Regulation of Insurance Companies**

IRDAI regulates and supervises insurance companies operating in India to ensure their proper functioning. It grants licenses to insurance companies and monitors their financial performance and business practices. IRDAI ensures that insurers follow rules, maintain solvency, and operate ethically. This function helps maintain stability and confidence in the insurance sector.

#### **2. Protection of Policyholders**

IRDAI safeguards the interests of policyholders by ensuring fair treatment and transparency in insurance services. It ensures that insurance companies settle claims properly and provide accurate information to customers. IRDAI also addresses customer grievances and complaints through various mechanisms. This function helps build trust between insurance companies and policyholders.

#### **3. Promotion of Insurance Industry**

IRDAI promotes the growth and development of the insurance industry in India. It encourages competition among insurance companies to improve the quality of services and expand insurance coverage. IRDAI also supports innovation in insurance products to meet changing customer needs. This function contributes to financial security and economic development.

#### **4. Regulation of Insurance Premiums and Policies**

IRDAI regulates insurance products, premium structures, and policy conditions to ensure fairness and transparency. It approves insurance products before they are offered to the public and ensures that terms and conditions are clearly stated. IRDAI prevents misleading policies and unfair pricing practices. This function protects consumers from exploitation and confusion.

### **5. Ensuring Financial Stability of Insurers**

IRDAI ensures that insurance companies maintain sufficient financial strength to meet future claims and obligations. It sets solvency margin requirements and monitors the financial health of insurers regularly. IRDAI conducts inspections and audits to ensure sound financial management. This function protects policyholders from the risk of insurance company failure.

### **6. Regulation of Insurance Intermediaries**

IRDAI regulates insurance agents, brokers, surveyors, and third-party administrators involved in insurance business. It provides licenses and sets professional standards for intermediaries. IRDAI also takes disciplinary action against unethical practices and misconduct. This function ensures professionalism and accountability in insurance services.

### **7. Promotion of Insurance Awareness and Inclusion**

IRDAI works to increase awareness about insurance among the public and promotes insurance coverage in rural and underserved areas. It encourages insurers to provide affordable insurance products for different sections of society. IRDAI also supports digital insurance services and financial inclusion initiatives. This function helps improve financial protection and social security in the country.

## **II. INTERMEDIARIES**

### **1. BANKING INSTITUTIONS**

#### **A. COMMERCIAL BANKS**

- Public Sector
- Private Sector
- RRBs
- Foreign Banks

#### **B. COOPERATIVE BANKS**

## **A. COMMERCIAL BANKS :**

**A commercial bank is a bank that accepts deposits and lends money to individuals, businesses, and organizations.** Commercial banks play an important role in the economy by mobilizing savings and providing credit for trade, industry, agriculture, and personal needs. They act as intermediaries between depositors and borrowers. These banks also provide various services such as money transfer, ATM facilities, internet banking, credit cards, and foreign exchange services. The primary objective of commercial banks is to earn profit while supporting economic development.

### **1. Public Sector Banks**

Public sector banks are banks in which the majority ownership and control are held by the Government of India. These banks are established to provide banking services to the public and support economic and social development. Public sector banks play an important role in implementing government policies, promoting financial inclusion, and providing loans to priority sectors such as agriculture and small industries. They have a large network of branches across both urban and rural areas.

#### **Examples**

State Bank of India, Punjab National Bank, Bank of Baroda

#### **Functions of Public Sector Banks**

##### **1. Acceptance of Deposits**

Public sector banks accept deposits from individuals, businesses, and institutions in the form of savings accounts, current accounts, and fixed deposits. These deposits provide safety for public money and encourage savings habits among people. The collected funds are used for lending and investment purposes. This function helps mobilize financial resources in the economy.

##### **2. Providing Loans and Advances**

These banks provide loans for personal, agricultural, industrial, and business purposes. They offer home loans, education loans, vehicle loans, and agricultural credit at reasonable interest rates. By providing financial assistance, they support economic growth and employment generation. Lending activities are one of the major sources of bank income.

##### **3. Implementation of Government Schemes**

Public sector banks help implement government welfare and financial schemes such as Jan Dhan Yojana, Mudra loans, and pension schemes. They ensure that financial benefits reach rural and weaker sections of society. These banks act as channels between the government and the public. This function promotes inclusive economic development.

#### **4. Promotion of Financial Inclusion**

Public sector banks expand banking services to rural and remote areas where private banks may not operate extensively. They open branches and provide basic banking facilities to economically weaker sections. Financial inclusion helps people access savings, credit, and insurance services. This function reduces financial inequality in society.

#### **5. Agricultural and Priority Sector Lending**

These banks provide credit to farmers, small industries, self-help groups, and other priority sectors identified by RBI. Such lending supports food production, rural employment, and industrial development. Public sector banks play a key role in strengthening rural and small-scale economies. This function contributes to balanced economic growth.

#### **6. Digital Banking Services**

Public sector banks provide internet banking, mobile banking, ATM services, and digital payment facilities. These services make banking transactions easier, faster, and more convenient for customers. Digital banking also reduces paperwork and improves efficiency. This function supports modernization of the banking system.

#### **7. Support for Industrial Development**

Public sector banks provide long-term and short-term finance to industries and infrastructure projects. They support manufacturing, energy, transportation, and other productive sectors of the economy. Industrial financing encourages production and employment opportunities. This function contributes to national economic development.

#### **8. Foreign Exchange Services**

These banks provide foreign exchange facilities for international trade and travel purposes. They assist importers and exporters in handling foreign currency transactions. Public sector banks also facilitate remittance services and international payments. This function promotes international trade and global financial transactions.

#### **9. Safe Custody and Locker Facilities**

Public sector banks offer locker facilities and safe custody services for valuables, documents, and jewelry. Customers can securely store important items in bank lockers for protection against theft or damage. These services enhance customer trust and confidence in banking institutions. This function provides safety and convenience to customers.

#### **10. Economic Stability and Employment Generation**

Public sector banks contribute to financial stability by maintaining public confidence in the banking system. They create employment opportunities through branch expansion and banking operations. These banks also help stabilize the economy during financial crises by supporting government policies. This function strengthens the overall financial system of the country.

## **2. Private Sector Banks**

Private sector banks are banks owned and managed mainly by private individuals or corporate institutions. Their primary objective is to provide efficient banking services and earn profits. These banks are known for technological innovation, quick customer service, and modern banking practices. They focus on customer satisfaction and operational efficiency.

### **Examples**

- HDFC Bank
- ICICI Bank
- Axis Bank

### **Functions of Private Sector Banks**

#### **1. Mobilization of Deposits**

Private sector banks collect deposits from customers through savings, fixed, and current accounts. These deposits provide financial security and interest income to customers. The banks utilize these funds for lending and investment purposes. This function increases capital formation in the economy.

#### **2. Providing Credit Facilities**

These banks provide various loans such as personal loans, housing loans, vehicle loans, and business loans. They help individuals and businesses meet financial requirements efficiently. Credit facilities support consumption, investment, and entrepreneurship activities. This function contributes to economic growth.

#### **3. Digital and Online Banking**

Private sector banks are highly advanced in digital banking services such as internet banking, mobile banking, and online fund transfers. Customers can perform transactions anytime and anywhere conveniently. These services improve speed, accuracy, and customer satisfaction. This function modernizes banking operations.

#### **4. Customer-Centered Services**

These banks focus on providing quick, efficient, and personalized services to customers. They offer customized financial products according to customer needs. Better customer service increases customer loyalty and trust. This function improves the quality of banking services.

#### **5. Credit and Debit Card Services**

Private sector banks issue credit cards and debit cards for cashless transactions. These cards enable customers to make payments, withdraw money, and shop online conveniently. Card

facilities encourage digital transactions and reduce cash dependency. This function promotes modern payment systems.

## **6. Investment and Wealth Management**

These banks provide investment advisory services, mutual funds, insurance, and wealth management solutions. They help customers manage savings and investments effectively. Such services support financial planning and wealth creation. This function improves financial awareness and investment culture.

## **7. Trade and Commerce Support**

Private sector banks finance trade and commercial activities through working capital loans and business finance. They support domestic and international business transactions. Banking assistance helps businesses expand operations and improve productivity. This function promotes economic and commercial growth.

## **8. Foreign Exchange Operations**

These banks provide foreign currency exchange and international payment services. They facilitate import-export transactions and overseas remittances. Foreign exchange services support global trade and tourism activities. This function strengthens international financial connectivity.

## **9. Technological Innovation**

Private sector banks introduce modern technologies such as AI-based banking, digital wallets, and automated services. Innovation improves operational efficiency and customer convenience. Advanced technology also reduces transaction costs and errors. This function strengthens competitiveness in the banking industry.

## **10. Profit Maximization and Economic Contribution**

Private sector banks aim to earn profits while providing efficient banking services. They contribute to economic development by financing businesses and investment activities. Profitability ensures long-term sustainability and growth of banking institutions. This function strengthens the financial sector and economy.

## **3. Regional Rural Banks (RRBs)**

Regional Rural Banks are specialized banks established to serve rural areas and support agricultural and rural development. They focus on providing affordable banking and credit facilities to farmers, laborers, and rural entrepreneurs. RRBs play a major role in rural financial inclusion and poverty reduction.

## **Examples**

- Karnataka Gramin Bank
- Andhra Pragathi Grameena Bank

## **Functions of RRBs**

### **1. Providing Rural Banking Services**

RRBs provide banking facilities in villages and rural areas where banking services are limited. They help rural people access formal financial services easily. This function promotes financial inclusion and rural development.

### **2. Agricultural Credit**

RRBs provide loans to farmers for seeds, fertilizers, irrigation, and farming equipment. Agricultural credit improves productivity and rural income. This function supports agricultural development and food security.

### **3. Support for Small Entrepreneurs**

These banks provide financial assistance to rural artisans, shopkeepers, and small business owners. Credit support helps rural entrepreneurship and employment generation. This function strengthens rural economic activities.

### **4. Promotion of Savings**

RRBs encourage rural people to save money through bank accounts and deposit schemes. Savings habits improve financial security among rural households. This function mobilizes rural financial resources.

### **5. Financial Assistance to Weaker Sections**

RRBs provide low-interest loans to weaker and economically backward sections of society. Such assistance reduces dependence on moneylenders. This function promotes social and economic equality.

### **6. Implementation of Government Rural Schemes**

These banks help implement government rural development and poverty alleviation programs. They distribute subsidies and financial benefits to eligible beneficiaries. This function supports inclusive rural growth.

### **7. Credit for Self-Employment**

RRBs provide loans for self-employment activities such as dairy farming, poultry farming, and cottage industries. Self-employment opportunities increase rural income and reduce unemployment. This function supports sustainable livelihoods.

## **8. Development of Rural Infrastructure**

These banks support projects related to irrigation, storage, transportation, and rural industries. Infrastructure development improves agricultural and economic productivity. This function strengthens rural economies.

## **9. Reduction of Exploitation by Moneylenders**

RRBs provide affordable institutional credit to villagers, reducing their dependence on private moneylenders charging high interest rates. This protects rural borrowers from financial exploitation. This function improves financial stability in rural areas.

## **10. Rural Economic Development**

RRBs contribute to the overall development of rural areas through credit creation, employment generation, and financial services. They help improve living standards and economic opportunities. This function supports balanced national development.

## **4. Foreign Banks**

Foreign banks are banks incorporated outside India but operating branches in India. These banks mainly provide international banking and corporate financial services. They introduce global banking practices and support foreign trade and investment activities.

Examples

- HSBC
- Citibank
- Standard Chartered

Functions of Foreign Banks

### **1. International Trade Finance**

Foreign banks provide financial services for import and export activities. They facilitate international payments and trade documentation. This function supports global business transactions.

### **2. Foreign Exchange Services**

These banks deal in foreign currencies and provide currency exchange services. They help customers handle international financial transactions efficiently. This function promotes global financial integration.

### **3. Corporate Banking Services**

Foreign banks provide loans and financial solutions to multinational companies and large corporations. They support business expansion and international operations. This function strengthens industrial and corporate growth.

#### **4. Investment Banking Services**

These banks provide advisory services related to mergers, acquisitions, and capital raising. Investment banking supports business financing and strategic decisions. This function contributes to capital market development.

#### **5. International Money Transfers**

Foreign banks facilitate overseas remittances and international fund transfers. Customers can send and receive money globally through secure banking channels. This function improves global financial connectivity.

#### **6. Advanced Banking Technology**

Foreign banks introduce modern banking technologies and international best practices. They improve efficiency, security, and customer convenience in banking operations. This function encourages technological advancement in the banking sector.

#### **7. Wealth Management Services**

These banks offer wealth management, portfolio management, and investment advisory services to high-net-worth individuals. Such services help customers manage international investments effectively. This function supports global financial planning.

#### **8. Support for Foreign Investment**

Foreign banks encourage foreign direct investment and international business activities in India. They provide financial guidance and banking support to foreign investors. This function strengthens international economic relations.

#### **9. Risk Management Services**

These banks provide services related to hedging, insurance, and financial risk management for international businesses. Risk management protects companies from market uncertainties. This function improves financial security in global operations.

#### **10. Contribution to Global Banking Standards**

Foreign banks bring international banking standards, professional practices, and financial innovations to India. Their presence increases competition and efficiency in the banking industry. This function improves the quality and competitiveness of Indian banking services.

## Cooperative Banks

A **cooperative bank** is a financial institution established on the principles of cooperation, mutual help, and self-support. These banks are owned and managed by their members, who are both customers and shareholders of the bank. Cooperative banks mainly provide banking and credit facilities to farmers, small businesses, traders, and people with limited income. Their primary objective is service to members rather than profit maximization. Cooperative banks play an important role in promoting rural credit, agricultural development, and financial inclusion in India.

### Examples

- Saraswat Co-operative Bank
- Karnataka State Cooperative Apex Bank
- Cosmos Co-operative Bank

## Functions of Cooperative Banks

### 1. Acceptance of Deposits

Cooperative banks accept deposits from members and the general public in the form of savings accounts, current accounts, and fixed deposits. These deposits provide financial security and encourage savings among people. The collected funds are used for lending and development activities. This function helps mobilize local financial resources.

### 2. Providing Loans and Credit Facilities

These banks provide loans to farmers, small traders, artisans, and small-scale industries at reasonable interest rates. Credit facilities help members meet agricultural, business, and personal financial needs. Cooperative banks mainly focus on weaker and middle-income groups. This function supports economic development at the grassroots level.

### 3. Agricultural Finance

Cooperative banks provide short-term and long-term agricultural loans for seeds, fertilizers, irrigation, tractors, and farming equipment. Financial assistance improves agricultural productivity and rural income. These banks play a major role in supporting farmers and rural economies. This function strengthens the agricultural sector.

### 4. Promotion of Savings Habits

Cooperative banks encourage people, especially in rural and semi-urban areas, to develop the habit of saving money. They offer safe and accessible banking services to local communities. Savings mobilization helps people achieve financial security and future stability. This function contributes to financial discipline and inclusion.

### 5. Financial Assistance to Small Businesses

These banks provide loans and working capital to small traders, cottage industries, and self-employed individuals. Financial support helps small businesses expand operations and generate employment. Cooperative banks encourage local entrepreneurship and economic activities. This function promotes small-scale industrial development.

## **6. Rural Development**

Cooperative banks play a significant role in rural development by providing banking facilities in villages and remote areas. They support agricultural and rural development programs initiated by the government. Access to banking services improves the economic conditions of rural communities. This function contributes to balanced regional development.

## **7. Implementation of Government Schemes**

Cooperative banks help implement various government welfare and subsidy schemes related to agriculture, housing, and rural development. They distribute loans, subsidies, and financial benefits to eligible beneficiaries. This function ensures that government assistance reaches rural and weaker sections effectively.

## **8. Credit to Weaker Sections**

These banks provide affordable credit facilities to economically weaker sections of society who may not have easy access to commercial banks. They help reduce dependence on moneylenders charging high interest rates. Financial assistance improves the living standards of low-income groups. This function supports social and economic equality.

## **9. Community-Based Banking Services**

Cooperative banks operate on the principle of mutual cooperation and community participation. Members have equal voting rights in management decisions regardless of their shareholding. This democratic structure ensures transparency and member welfare. This function strengthens trust and cooperation among members.

## **10. Promotion of Financial Inclusion**

Cooperative banks provide banking services to underserved populations in rural and semi-urban areas. They help people access savings accounts, loans, and other financial services. Financial inclusion reduces economic inequality and promotes inclusive growth. This function supports overall economic development.

### **Types of Cooperative Banks**

1. State Cooperative Banks
2. District Central Cooperative Banks
3. Primary Agricultural Credit Societies (PACS)
4. Urban Cooperative Banks

## **2. NON BANKING FINANCIAL INSTITUTIONS :**

Non-Banking Financial Companies (NBFCs) are companies engaged in financial activities such as loans, leasing, hire purchase, investment, and asset financing. They are registered under the Companies Act and regulated by the RBI under the Reserve Bank of India Act, 1934.

### **2.1 Development Financial Institutions (DFIs)**

Development Financial Institutions (DFIs) are specialized financial institutions established to provide long-term finance and support economic development in sectors such as industry, agriculture, infrastructure, exports, and rural development. These institutions play a major role in promoting balanced economic growth, industrialization, employment generation, and financial stability in the country.

DFIs can broadly be classified into:

- A. Development Banks
- B. Investment Institutions
- C. Specialized Institutions

#### **(A) Development Banks**

Development banks are financial institutions established to provide long-term financial assistance for industrial, agricultural, and economic development projects. These institutions support sectors that may not receive adequate finance from commercial banks.

Development banks are classified into:

1. All India Development Banks
2. State Level Development Banks

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### **1. All India Development Banks**

All India Development Banks operate at the national level and provide financial assistance throughout India. They support large industries, exports, agriculture, infrastructure, and small-scale industries.

Examples

- Industrial Development Bank of India (IDBI)
- National Bank for Agriculture and Rural Development (NABARD)
- Small Industries Development Bank of India (SIDBI)
- Export-Import Bank of India (EXIM Bank)

Functions of All India Development Banks

#### **1. Providing Long-Term Finance**

These institutions provide long-term loans and financial assistance to industries and development projects. Long-term finance supports expansion, modernization, and infrastructure development. This function promotes industrial growth and economic stability.

## **2. Industrial Development**

All India Development Banks support the establishment and growth of industries across the country. They provide financial assistance for manufacturing, energy, transportation, and infrastructure sectors. This function encourages industrialization and employment generation.

## **3. Agricultural and Rural Development**

Institutions like NABARD provide finance for agriculture, irrigation, rural infrastructure, and rural industries. Financial support improves agricultural productivity and rural income. This function strengthens the rural economy.

## **4. Support for Small-Scale Industries**

SIDBI and similar institutions provide loans and assistance to small and medium enterprises (SMEs). These institutions encourage entrepreneurship and small business development. This function supports employment and regional development.

## **5. Export Promotion**

EXIM Bank provides financial support for export and import activities. It helps Indian exporters compete in international markets through export credit and financial assistance. This function improves foreign trade and foreign exchange earnings.

## **6. Infrastructure Financing**

Development banks finance large infrastructure projects such as roads, ports, power plants, and telecommunications. Infrastructure development supports economic growth and public welfare. This function strengthens the national economy.

## **7. Technical and Financial Guidance**

These institutions provide expert advice and consultancy services for project planning and management. Guidance helps industries improve efficiency and productivity. This function supports successful implementation of projects.

## **8. Resource Mobilization**

Development banks mobilize financial resources from domestic and international markets for development activities. These resources are invested in productive sectors. This function increases capital formation in the economy.

## **9. Balanced Regional Development**

These institutions provide financial assistance to backward and underdeveloped regions. Regional development reduces economic disparities and promotes inclusive growth. This function ensures balanced economic progress.

## **10. Promotion of Economic Growth**

By financing productive sectors and development projects, these banks contribute to national income, employment, and industrialization. Their activities strengthen the financial and economic structure of the country. This function supports sustainable economic development.

## **2. State Level Development Banks**

State Level Development Banks operate within a particular state and provide financial assistance for regional industrial and economic development.

### **Examples**

- Karnataka State Financial Corporation
- Maharashtra State Financial Corporation
- State Industrial Development Corporations (SIDCs)

### **Functions of State Level Development Banks**

#### **1. Financial Assistance to Small and Medium Industries**

These banks provide loans and advances to small and medium industries operating within the state. Financial support encourages industrial growth at the regional level. This function strengthens local economies.

#### **2. Promotion of Regional Industrial Development**

State-level institutions encourage industries in backward and rural areas of the state. Industrial development generates employment and improves infrastructure. This function reduces regional economic imbalance.

#### **3. Support for Entrepreneurship**

These banks assist new entrepreneurs by providing finance and guidance for establishing businesses. Entrepreneurship development encourages innovation and self-employment. This function promotes economic dynamism.

#### **4. Infrastructure Development**

State development banks finance industrial estates, roads, water supply, and power projects within the state. Infrastructure support improves industrial productivity and economic activities. This function contributes to state development.

## **5. Rehabilitation of Sick Industries**

These institutions provide assistance for reviving financially weak or sick industrial units. Rehabilitation helps protect employment and industrial production. This function supports industrial stability.

## **6. Promotion of Small Industries**

State development banks provide subsidies, incentives, and financial assistance to small-scale industries. Such support improves industrial diversification and employment opportunities. This function strengthens the MSME sector.

## **7. Technical Consultancy Services**

These institutions provide technical advice for project planning, management, and implementation. Consultancy services improve efficiency and reduce project risks. This function supports successful industrial operations.

## **8. Employment Generation**

By supporting industries and businesses, state-level development banks create employment opportunities within the state. Increased employment improves income and living standards. This function contributes to social development.

## **9. Resource Allocation**

These banks allocate financial resources to priority sectors identified by state governments. Proper allocation supports balanced economic growth. This function improves economic planning and development.

## **10. Economic Development of the State**

State development banks contribute to industrialization, infrastructure growth, and investment within the state. Their activities improve regional economic performance and public welfare. This function strengthens state economies.

## **(B) Investment Institutions**

Investment institutions mobilize savings from the public and invest them in various financial securities and development projects. They promote savings, investment, insurance protection, and capital market development.

### **Examples**

- Life Insurance Corporation of India (LIC)
- General Insurance Corporation of India (GIC)
- Unit Trust of India (UTI)

## **Functions of Investment Institutions**

### **1. Mobilization of Savings**

These institutions collect savings from individuals and organizations through insurance premiums and investment schemes. Savings mobilization increases capital formation in the economy. This function supports investment activities.

### **2. Investment in Securities**

Investment institutions invest collected funds in shares, bonds, government securities, and development projects. Investments generate returns and support economic growth. This function strengthens financial markets.

### **3. Insurance Protection**

LIC and GIC provide life and general insurance coverage against various risks. Insurance protection reduces financial uncertainty for individuals and businesses. This function promotes financial security.

### **4. Promotion of Long-Term Investments**

These institutions encourage long-term savings and investment habits among people. Long-term investments provide stability to financial markets and development projects. This function supports economic sustainability.

### **5. Capital Market Development**

Investment institutions participate in stock and bond markets by investing large amounts of funds. Their participation increases market liquidity and investor confidence. This function supports capital market growth.

### **6. Financial Assistance to Industries**

These institutions invest in industrial and infrastructure projects. Financial support encourages production, modernization, and industrial expansion. This function contributes to industrial development.

### **7. Social Security and Welfare**

Insurance institutions provide financial support to families during death, accidents, and other emergencies. Social security improves economic stability and public welfare. This function protects individuals from financial hardship.

### **8. Wealth Creation**

Investment schemes help investors earn returns and build wealth over time. Wealth creation improves financial planning and economic well-being. This function supports personal financial growth.

## **9. Encouragement of Public Investment**

These institutions motivate people to invest their savings in productive financial instruments. Public investment increases economic participation and financial awareness. This function strengthens the investment culture.

## **10. Economic Development**

By channeling savings into productive sectors, investment institutions support infrastructure, industries, and national development projects. Their activities contribute to overall economic progress. This function promotes sustainable growth.

## **(C) Specialized Institutions**

Specialized financial institutions are established to provide financial assistance to specific sectors or activities such as exports, agriculture, housing, tourism, and small industries.

### **Examples**

- National Housing Bank (NHB)
- Export-Import Bank of India (EXIM Bank)
- National Bank for Agriculture and Rural Development (NABARD)

### **Functions of Specialized Institutions**

#### **1. Sector-Specific Financial Assistance**

These institutions provide finance for specific sectors such as housing, agriculture, exports, or tourism. Sector-focused finance supports targeted economic development. This function improves sectoral growth.

#### **2. Promotion of Specialized Industries**

Specialized institutions encourage development in priority sectors through financial assistance and incentives. Sectoral support increases productivity and competitiveness. This function strengthens strategic industries.

#### **3. Export and Import Promotion**

Institutions like EXIM Bank support international trade through export credit and financial services. Export promotion increases foreign exchange earnings. This function strengthens global trade relations.

#### **4. Housing Finance**

National Housing Bank supports housing finance companies and housing development activities. Housing finance improves living standards and urban development. This function supports social welfare.

## **5. Agricultural Development**

NABARD provides financial assistance for agriculture, irrigation, and rural infrastructure. Agricultural support improves food production and rural income. This function strengthens rural economies.

## **6. Infrastructure Development**

Specialized institutions finance infrastructure projects in their respective sectors. Infrastructure development improves economic productivity and public services. This function supports long-term development.

## **7. Technical and Advisory Services**

These institutions provide technical guidance, consultancy, and project evaluation services. Expert support improves project success and operational efficiency. This function reduces business risks.

## **8. Financial Inclusion**

Specialized institutions extend financial services to underserved sectors and communities. Financial inclusion improves access to credit and economic opportunities. This function supports inclusive growth.

## **9. Resource Mobilization**

These institutions mobilize financial resources from domestic and international markets for sectoral development. Resource mobilization increases investment capacity. This function supports economic expansion.

## **10. Contribution to National Development**

By supporting strategic sectors, specialized institutions contribute to employment generation, industrial growth, and economic stability. Their activities strengthen overall national development.

## **NON-BANKING:**

- **FINANCIAL ENTITIES**

- (A) NBFCs**

- EQUIPMENT

- LEASING

- HIRE

- PURCHASE

- INVESTMENT

- LOAN RNBCS

- (B) MBFC's**

- (C) MNBCS**

## **1. Equipment Leasing Companies**

Equipment leasing companies provide machinery, vehicles, industrial equipment, and other assets on lease to businesses and individuals. Instead of purchasing costly equipment, customers can use assets by paying periodic lease rentals.

### **Examples**

- Shriram Finance

### **Functions of Equipment Leasing Companies**

#### **1. Providing Equipment on Lease**

These companies purchase machinery and lease it to customers for business use. Leasing reduces the need for large initial investments. This function helps businesses acquire modern equipment easily.

#### **2. Supporting Industrial Growth**

Leasing facilities help industries use advanced technology and machinery without ownership burdens. Industrial productivity and efficiency improve through modern equipment. This function promotes industrial development.

#### **3. Flexible Financing**

Equipment leasing offers flexible payment schedules according to customer needs. Businesses can conserve working capital while using necessary equipment. This function improves financial management.

#### **4. Reduction of Obsolescence Risk**

The ownership of equipment remains with the leasing company. Businesses can replace outdated equipment easily after lease expiry. This function reduces technological obsolescence risks.

#### **5. Tax Benefits**

Lease rentals are treated as business expenses for lessees. Tax benefits reduce the financial burden on businesses. This function encourages leasing activities.

## **2. Hire Purchase Finance Companies**

Hire purchase finance companies provide assets such as vehicles, machinery, and consumer goods on installment payment systems. Ownership is transferred to the customer after full payment of installments.

Examples

- Mahindra Finance
- Bajaj Finance

Functions of Hire Purchase Finance Companies

### **1. Financing Asset Purchases**

These companies finance the purchase of vehicles, machinery, and equipment. Customers pay installments over a fixed period. This function makes asset acquisition affordable.

### **2. Promoting Consumer Demand**

Hire purchase facilities encourage people to buy durable goods without immediate full payment. Increased demand supports industrial production and sales. This function stimulates economic activity.

### **3. Providing Credit Facilities**

These companies provide credit to customers who may not afford direct purchases. Credit facilities improve access to productive and consumer assets. This function supports financial inclusion.

### **4. Ownership Transfer**

Ownership remains with the company until all installments are paid. This system reduces default risks for the financing company. This function ensures repayment security.

### **5. Support for Small Businesses**

Small businesses use hire purchase finance to acquire machinery and vehicles. Business expansion becomes easier through installment financing. This function promotes entrepreneurship.

## **3. Investment Companies**

Investment companies mobilize funds and invest in shares, bonds, debentures, and securities. Their main objective is earning returns through investments and supporting capital market activities.

Examples

- Tata Investment Corporation
- LIC Housing Finance

Functions of Investment Companies

### **1. Investment in Securities**

These companies invest in shares, bonds, and government securities. Investments generate income through dividends and capital appreciation. This function promotes capital market development.

### **2. Mobilization of Savings**

Investment companies collect funds from investors for investment purposes. Savings mobilization increases financial resources in the economy. This function supports capital formation.

### **3. Portfolio Diversification**

These companies spread investments across different securities to reduce risk. Diversification improves investment stability and returns. This function protects investors from market fluctuations.

### **4. Promotion of Capital Markets**

Investment activities increase liquidity and participation in financial markets. Strong capital markets support industrial and economic growth. This function strengthens financial systems.

### **5. Wealth Creation**

Investment companies help investors earn long-term returns on savings. Wealth creation improves financial security and economic well-being. This function encourages investment culture.

## **4. Loan Companies**

Loan companies provide loans and advances for personal, business, industrial, and commercial purposes. Their primary business is lending money to borrowers.

### **Examples**

- Muthoot Finance
- Manappuram Finance

### **Functions of Loan Companies**

#### **1. Providing Personal Loans**

These companies provide loans for education, marriage, housing, and emergencies. Financial assistance helps customers meet urgent needs. This function improves financial accessibility.

#### **2. Business and Commercial Finance**

Loan companies provide working capital and business loans to enterprises. Business finance supports production and expansion activities. This function promotes entrepreneurship.

#### **3. Gold Loans**

Many loan companies provide loans against gold ornaments and valuables. Gold loans offer quick liquidity to borrowers. This function supports short-term financial needs.

#### **4. Financial Inclusion**

Loan companies provide credit to individuals who may not qualify for bank loans. Easy access to finance supports economically weaker sections. This function reduces financial exclusion.

#### **5. Quick Loan Processing**

These companies generally process loans faster than traditional banks. Faster approval improves customer convenience and business continuity. This function enhances financial efficiency.

## **5. RNBCs – Residuary Non-Banking Companies**

RNBCs are financial companies that collect deposits from the public under various schemes and invest them according to RBI regulations. Their primary business is receiving deposits rather than lending.

### **Example**

- Peerless General Finance and Investment Company

### **Functions of RNBCs**

#### **1. Collection of Public Deposits**

RNBCs mobilize savings from the public through deposit schemes. Deposits provide investment opportunities for small savers. This function increases financial resource mobilization.

#### **2. Encouragement of Savings Habits**

These companies encourage regular savings among low and middle-income groups. Savings habits improve financial discipline and security. This function promotes financial awareness.

#### **3. Investment of Deposits**

RNBCs invest collected funds according to RBI guidelines. Investments generate returns and ensure safety of depositor funds. This function supports financial stability.

#### **4. Financial Services to Small Investors**

RNBCs provide savings opportunities to small investors who may not access formal investments easily. Small-scale savings improve economic participation. This function supports inclusive finance.

#### **5. Capital Formation**

By mobilizing savings and investing them productively, RNBCs contribute to capital formation and economic growth. This function supports national development.

## **(B) MBFCs – Miscellaneous Non-Banking Financial Companies**

MBFCs are companies engaged in miscellaneous financial activities such as chit funds, nidhi companies, and prize schemes. These institutions mobilize funds from members and provide financial assistance.

## Examples

- Chit Fund Companies
- Nidhi Companies

## Functions of MBFCs

### **1. Mobilization of Small Savings**

MBFCs collect small savings from members through periodic contributions. Savings mobilization helps members build financial discipline. This function supports local finance.

### **2. Providing Loans to Members**

These institutions provide loans to members from pooled funds. Credit facilities help members meet financial needs. This function supports mutual financial assistance.

### **3. Promotion of Mutual Benefit**

MBFCs operate on the principle of mutual cooperation among members. Members both contribute and benefit financially. This function strengthens community-based finance.

### **4. Financial Support for Small Needs**

These institutions mainly support small and short-term financial requirements. Quick access to funds helps members manage emergencies. This function improves financial accessibility.

### **5. Encouragement of Thrift**

Regular contributions encourage savings habits among members. Thrift and financial discipline improve economic stability. This function promotes responsible financial behavior.

## **(C) MNBCs – Mutual Benefit Non-Banking Companies**

MNBCs are member-based financial institutions formed for mutual financial benefit. They mainly accept deposits from and provide loans to their members.

## Examples

- Nidhi Companies
- Mutual Benefit Societies

## Functions of MNBCs

### **1. Acceptance of Deposits from Members**

MNBCs accept deposits only from their members. Deposits create a common financial pool for lending activities. This function promotes collective savings.

## **2. Providing Loans to Members**

These companies provide loans to members at reasonable interest rates. Credit support helps members meet personal and business needs. This function encourages mutual financial support.

## **3. Promotion of Savings and Thrift**

MNBCs encourage members to save regularly through deposit schemes. Savings habits improve financial security among members. This function supports financial discipline.

## **4. Mutual Financial Assistance**

These institutions operate for the mutual benefit of members rather than profit maximization. Members support each other financially through collective participation. This function strengthens cooperative finance.

## **5. Financial Inclusion**

MNBCs provide financial services to individuals who may not easily access commercial banking services. Financial inclusion improves economic participation and community welfare. This function supports inclusive development.

### **I. FINANCIAL MARKETS**

#### **1. MONEY MARKET**

- A. Call money market
- B. Treasury Bills
- C. Commercial Bills
- D. Commercial Papers
- E. CD's

#### **1. MONEY MARKET**

The **money market** is a segment of the financial market where short-term funds and financial instruments with a maturity period of less than one year are borrowed and lent. It facilitates liquidity management and short-term financing for governments, banks, financial institutions, and businesses. The money market plays an important role in maintaining monetary stability and smooth functioning of the financial system.

## A. Call Money Market

The call money market is a segment of the money market where short-term funds are borrowed and lent for one day. It helps banks and financial institutions manage temporary liquidity shortages and maintain smooth functioning of the banking system.

### Features of Call Money Market

#### **1. One-Day Borrowing and Lending**

Funds in the call money market are borrowed and repaid within one day. This makes it an extremely short-term financial arrangement.

#### **2. Used Mainly by Banks**

Commercial banks and financial institutions are the major participants in this market. They use it to manage daily cash requirements and reserve obligations.

#### **3. Helps Manage Liquidity**

Banks facing temporary shortages of funds borrow money through this market. It helps maintain liquidity and smooth banking operations.

#### **4. Interest Rate Called Call Rate**

The rate charged on borrowed funds is known as the call rate. This rate changes frequently depending on demand and supply of funds.

#### **5. Highly Liquid Market**

The call money market provides immediate availability of funds. Participants can quickly borrow or lend money without long-term commitments.

#### **6. Generally No Collateral Required**

Most transactions in this market are unsecured and do not require collateral security. Trust and financial reputation are important for transactions.

#### **7. Quick Transactions**

Transactions are completed rapidly through electronic systems. This ensures efficient transfer of short-term funds among participants.

#### **8. Regulated by RBI**

The Reserve Bank of India supervises and regulates the call money market. RBI ensures stability and proper functioning of the market.

## **9. Maintains Banking Stability**

The market helps banks meet reserve requirements and avoid liquidity crises. This contributes to overall financial system stability.

## **10. Operates Electronically**

Most call money transactions are conducted through electronic platforms. Electronic operations improve speed, transparency, and efficiency.

## **B. Treasury Bills**

Treasury Bills are short-term government securities issued by the Government of India to meet short-term financial needs. They are considered highly safe because they are backed by the government.

### **Features of Treasury Bills**

#### **1. Issued by Government**

Treasury Bills are issued by the Government of India through RBI. Government backing makes them highly secure investments.

#### **2. Short-Term Maturity**

The maturity period of Treasury Bills is less than one year. This makes them suitable for short-term investment purposes.

#### **3. Different Maturity Periods**

Treasury Bills are available in 91-day, 182-day, and 364-day periods. Investors can choose according to their investment needs.

#### **4. Issued at Discount**

Treasury Bills are sold below their face value and redeemed at full value. The difference represents the investor's return.

#### **5. Risk-Free Investment**

Since they are backed by the government, Treasury Bills carry minimal default risk. They are considered one of the safest investments.

#### **6. Highly Liquid**

Investors can easily buy and sell Treasury Bills in the market. High liquidity provides flexibility to investors.

### **7. Managed by RBI**

RBI conducts auctions and manages Treasury Bill issuance. Proper regulation ensures market stability and transparency.

### **8. No Separate Interest Payment**

Treasury Bills do not pay regular interest like bonds. Returns are earned through the discount on purchase price.

### **9. Used for Government Financing**

The government issues Treasury Bills to meet short-term financial requirements. This helps manage temporary budget deficits.

### **10. Suitable for Conservative Investors**

Treasury Bills are preferred by investors seeking safety and stability. They are ideal for low-risk investment strategies.

## **C. Commercial Bills**

Commercial bills are negotiable instruments arising from trade transactions between buyers and sellers. They help businesses obtain short-term finance and facilitate trade activities.

### **Features of Commercial Bills**

#### **1. Based on Trade Transactions**

Commercial bills arise from actual buying and selling of goods. They represent genuine commercial obligations.

#### **2. Short-Term Financing Instrument**

Businesses use commercial bills for short-term financial needs. This helps maintain smooth trade operations.

#### **3. Negotiable Instrument**

Commercial bills can be transferred from one person to another. Negotiability increases their usefulness in business transactions.

#### **4. Accepted by Buyer**

The buyer accepts the bill as a promise to pay in the future. Acceptance creates a legal obligation to make payment.

### **5. Short Maturity Period**

Commercial bills usually mature within 90 days. Short maturity supports working capital management.

### **6. Can Be Discounted**

Sellers can discount bills with banks before maturity to obtain immediate cash. Discounting improves business liquidity.

### **7. Facilitates Trade**

Commercial bills help buyers purchase goods on credit. This promotes business and commercial activities.

### **8. Reduces Immediate Cash Requirement**

Buyers need not make immediate payment for purchases. Deferred payment helps businesses manage cash flow efficiently.

### **9. Provides Liquidity to Sellers**

Sellers can convert bills into cash through banks. This ensures continuous availability of working capital.

### **10. Widely Used in Business**

Commercial bills are commonly used in domestic and international trade. Their usage supports organized commercial transactions.

## **D. Commercial Papers**

Commercial papers are unsecured short-term promissory notes issued by financially strong companies. They help companies raise short-term funds for working capital needs.

Features of Commercial Papers

### **1. Issued by Strong Companies**

Only financially sound companies can issue commercial papers. Strong creditworthiness increases investor confidence.

### **2. Unsecured Instrument**

Commercial papers are not backed by collateral security. Investors rely on the company's reputation and financial strength.

### **3. Used for Short-Term Finance**

Companies issue commercial papers to meet temporary funding requirements. This helps manage working capital efficiently.

### **4. Issued at Discount**

Commercial papers are sold below face value and redeemed at full value. The difference represents the return to investors.

### **5. Flexible Maturity Period**

The maturity period ranges from 7 days to 1 year. Flexibility allows companies to match financing needs.

### **6. No Collateral Required**

Issuers do not need to pledge assets for raising funds. This reduces borrowing complications for companies.

### **7. Lower Cost of Borrowing**

Commercial papers usually carry lower interest costs than bank loans. Companies can raise funds economically.

### **8. Tradable Instrument**

Commercial papers can be bought and sold in the secondary market. Tradability improves liquidity for investors.

### **9. Regulated by RBI**

RBI regulates the issue and operation of commercial papers. Regulation ensures market discipline and investor protection.

### **10. Purchased by Institutions**

Banks, mutual funds, and financial institutions mainly invest in commercial papers. Institutional participation increases market stability.

## E. Certificates of Deposit (CDs)

Certificates of Deposit are negotiable instruments issued by banks and financial institutions for fixed-term deposits. They offer fixed returns and are commonly used for short-term investments.

### Features of Certificates of Deposit

#### **1. Issued by Banks**

Banks and financial institutions issue Certificates of Deposit. They use CDs to mobilize short-term funds from investors.

#### **2. Negotiable Instrument**

Certificates of Deposit can be transferred from one investor to another. Negotiability increases marketability and liquidity.

#### **3. Fixed Maturity Period**

CDs have a predetermined maturity period decided at issuance. Investors receive funds after the maturity date.

#### **4. Fixed Interest Return**

Investors earn a fixed rate of return on Certificates of Deposit. Fixed returns provide certainty and stability.

#### **5. Available in Physical and Electronic Form**

CDs may be issued in paper or dematerialized form. Electronic forms improve safety and convenience.

#### **6. Safe Investment Option**

Certificates of Deposit are considered relatively safe investments. Issuance by banks increases investor confidence.

#### **7. Used for Fund Mobilization**

Banks issue CDs to raise short-term financial resources. Mobilized funds support lending and banking operations.

#### **8. Higher Returns than Savings Accounts**

CDs generally offer better returns compared to ordinary savings deposits. Higher returns attract investors seeking stable income.

## **9. Regulated by RBI**

RBI regulates the issue and functioning of Certificates of Deposit. Regulation ensures transparency and financial stability.

## **10. Suitable for Short-Term Investors**

CDs are ideal for investors seeking secure short-term investment opportunities. They provide predictable returns with lower risk.

# **CAPITAL MARKET**

The capital market is a segment of the financial market that deals with the borrowing and lending of long-term funds and financial securities. It helps mobilize savings from investors and channel them into productive investments such as industries, infrastructure, and business expansion. The capital market plays an important role in economic development by facilitating capital formation and encouraging investment activities. It includes various financial instruments such as shares, debentures, bonds, and derivatives.

The capital market can broadly be classified into:

1. Primary Market
2. Secondary Market
3. Derivatives Market

## **1. Primary Market**

The primary market is the market where new securities are issued to the public for the first time. Companies and governments raise long-term funds by issuing shares, debentures, and bonds directly to investors. It is also called the new issue market. The primary market plays an important role in capital formation and economic development.

Features of Primary Market

### **1. Issue of New Securities**

The primary market deals only with newly issued securities such as shares and debentures. Companies issue these securities to raise fresh capital for expansion, modernization, and development projects. Investors purchase securities directly from the issuing company. This creates a direct flow of funds into productive sectors of the economy.

### **2. Direct Flow of Funds**

Funds collected in the primary market go directly to the issuing company or institution. The company uses these funds for business operations, infrastructure development, or repayment of liabilities. This direct transfer helps organizations obtain long-term financial resources. It supports industrial growth and economic progress.

### **3. Supports Capital Formation**

The primary market mobilizes savings from investors and channels them into productive investments. Industries and businesses use these funds to create assets and expand operations. This process increases employment opportunities and national income. Therefore, the primary market contributes significantly to economic development.

### **4. Involves Initial Public Offerings (IPOs)**

Companies raise funds from the public through Initial Public Offerings (IPOs). An IPO helps a private company become publicly listed on stock exchanges. It increases public participation and ownership in the company. IPOs are an important source of large-scale capital for businesses.

### **5. Regulated by SEBI**

The Securities and Exchange Board of India regulates and supervises the primary market in India. SEBI ensures transparency, fair practices, and investor protection during the issue of securities. Strict regulations reduce fraudulent activities and improve investor confidence. This helps maintain stability and trust in the financial system.

### **6. Source of Long-Term Finance**

The primary market provides long-term funds to companies and governments. These funds are generally used for fixed assets, infrastructure projects, and business expansion. Long-term financing helps organizations undertake large development activities. This contributes to industrialization and economic growth.

### **7. Underwriting Services**

Merchant bankers and financial institutions provide underwriting services in the primary market. Underwriters guarantee the purchase of unsold securities during an issue. This reduces the risk faced by companies while raising funds. Underwriting increases confidence and ensures successful completion of security issues.

### **8. Different Methods of Issue**

Securities can be issued through public issues, rights issues, private placements, and preferential allotments. Each method is designed to suit different financial requirements and investor groups. These alternatives provide flexibility in raising capital. Companies can choose the most suitable method according to their objectives.

### **9. Promotes Industrial Development**

Funds raised through the primary market are invested in industries, infrastructure, and business expansion projects. This increases production capacity, employment opportunities, and technological advancement. Industrial growth contributes to economic development and higher living standards. Thus, the primary market acts as a catalyst for development.

### **10. Direct Purchase by Investors**

Investors buy securities directly from the issuing company in the primary market. This establishes ownership relations between investors and the company. Investors may receive dividends, interest, or capital appreciation from their investments. Direct investment also helps companies obtain necessary financial resources efficiently.

## **2. Secondary Market**

The secondary market is the market where existing securities are bought and sold among investors after their original issue in the primary market. It is commonly known as the stock market or stock exchange market. The secondary market provides liquidity and marketability to securities and encourages investment activities.

### **Features of Secondary Market**

#### **1. Trading of Existing Securities**

The secondary market deals with securities that have already been issued in the primary market. Investors buy and sell these securities among themselves through stock exchanges. Companies do not receive additional funds from such transactions. The market mainly facilitates transfer of ownership.

#### **2. Provides Liquidity**

The secondary market enables investors to convert securities into cash whenever required. Easy buying and selling increase investor confidence and participation in the market. Liquidity reduces the risk associated with long-term investments. This encourages more savings and investments in securities.

#### **3. Operates Through Stock Exchanges**

Transactions in the secondary market take place through organized stock exchanges such as National Stock Exchange and Bombay Stock Exchange. Stock exchanges provide a regulated platform for trading securities. They ensure transparency, safety, and efficient execution of transactions. Organized trading strengthens investor confidence.

#### **4. Continuous Market Operations**

The secondary market operates continuously during specified trading hours. Investors can buy or sell securities according to market conditions and investment decisions. Continuous trading

helps maintain market liquidity and price stability. It also improves flexibility and convenience for investors.

## **5. Price Determination Through Demand and Supply**

Prices of securities in the secondary market are determined by market demand and supply forces. Factors such as company performance, economic conditions, and investor expectations influence prices. Market-based pricing ensures fair valuation of securities. This process is known as price discovery.

## **6. Investor Protection**

SEBI regulates the secondary market to protect investors from fraud, manipulation, and insider trading. Rules and regulations ensure fair and transparent trading practices. Investor grievances are also addressed through regulatory mechanisms. This improves public trust in financial markets.

## **7. Encourages Investment**

The existence of an active secondary market encourages people to invest in securities. Investors know they can sell their investments easily whenever needed. This confidence increases participation in the capital market. Greater investment contributes to economic growth and capital formation.

## **8. Facilitates Transfer of Ownership**

The secondary market enables easy transfer of securities from one investor to another. Ownership changes take place through electronic trading and settlement systems. Efficient transfer mechanisms improve market convenience and operational efficiency. This supports smooth functioning of the financial system.

## **9. Indirect Support to Capital Formation**

Although companies do not directly receive funds from secondary market transactions, the market supports capital formation indirectly. A strong secondary market increases investor confidence in primary market investments. This helps companies raise capital more effectively. Therefore, the secondary market complements the primary market.

## **10. Electronic Trading System**

Modern secondary markets use electronic trading platforms for buying and selling securities. Electronic systems improve speed, transparency, and accuracy of transactions. They reduce paperwork and operational errors in trading activities. Technology has made stock market operations more efficient and accessible.

### 3. Derivatives Market

The derivatives market is a financial market where derivative instruments such as futures, options, forwards, and swaps are traded. The value of these instruments depends on underlying assets like shares, commodities, currencies, and market indices. The derivatives market is mainly used for hedging risk, speculation, and arbitrage activities.

#### Features of Derivatives Market

##### 1. Value Derived from Underlying Assets

Derivative instruments derive their value from underlying assets such as stocks, commodities, currencies, or interest rates. Any change in the price of the underlying asset affects the value of the derivative contract. This relationship makes derivatives highly sensitive to market conditions. Therefore, understanding the underlying asset is essential for derivative trading.

##### 2. Used for Risk Management

Investors and businesses use derivatives to protect themselves from price fluctuations and financial risks. Hedging through derivatives helps reduce uncertainty in future cash flows and market prices. For example, exporters may use currency derivatives to reduce exchange rate risk. Thus, derivatives are important tools for financial risk management.

##### 3. Enables Speculation

Traders use derivatives to earn profits from expected changes in market prices. Speculators take positions based on their expectations about future price movements. Since derivatives involve leverage, they can generate high profits as well as high losses. Speculation increases trading activity and market liquidity.

##### 4. High Leverage

Derivatives allow investors to control large financial positions with a relatively small initial investment called margin. Leverage increases the potential return on investment. However, it also increases the risk of losses if market movements are unfavorable. Therefore, derivative trading requires careful risk management.

##### 5. Organized and Standardized Trading

Many derivative contracts are traded on organized exchanges with standardized terms and conditions. Standardization improves transparency and reduces disputes between parties. Organized exchanges also ensure proper settlement and monitoring of transactions. This increases reliability and efficiency in derivative trading.

##### 6. Facilitates Arbitrage

Arbitrage involves earning profit from price differences of the same asset in different markets. Traders use derivatives to exploit these price differences and make risk-free profits. Arbitrage

activities help maintain uniform prices across markets. This contributes to market efficiency and stability.

## **7. Regulated by SEBI**

The derivatives market in India is regulated by SEBI to ensure fair and transparent trading practices. Regulations reduce the risk of fraud, manipulation, and excessive speculation. Proper supervision protects investors and maintains financial stability. Regulatory control also strengthens public confidence in the market.

## **8. High Liquidity**

Popular derivative contracts are actively traded by investors and institutions. High trading volume makes it easier to buy and sell contracts quickly. Liquidity improves market efficiency and reduces transaction costs. It also helps investors enter and exit positions conveniently.

## **9. Supports Price Discovery**

Derivative trading reflects market expectations regarding future prices of underlying assets. These expectations help determine fair market prices through continuous trading activities. Price discovery improves decision-making for investors, producers, and businesses. Thus, derivatives contribute to efficient functioning of financial markets.

## **10. Possibility of High Risk**

Derivative trading involves significant risk because of leverage and market volatility. Unfavorable market movements can lead to substantial financial losses. Excessive speculation may also increase instability in financial markets. Therefore, derivatives require proper knowledge, regulation, and risk management practices.

# **Types of Derivatives**

Derivatives are financial contracts whose value is derived from underlying assets such as shares, commodities, currencies, interest rates, or market indices. These instruments are mainly used for hedging risk, speculation, and arbitrage. The major types of derivatives are futures, options, forwards, and swaps

## **1. Futures Contracts**

A futures contract is a standardized agreement between two parties to buy or sell an underlying asset at a predetermined price on a specified future date. These contracts are traded on organized stock exchanges. Futures contracts are commonly used for commodities, currencies, stocks, and market indices.

## Features of Futures Contracts

### 1. Standardized Contract

Futures contracts have standardized terms regarding quantity, quality, maturity date, and contract size. Standardization makes trading easier and more transparent on organized exchanges. Investors can easily buy or sell contracts without negotiating individual terms. This improves efficiency and liquidity in the derivatives market.

### 2. Traded on Stock Exchanges

Futures contracts are traded through organized exchanges such as National Stock Exchange. Stock exchanges provide regulated and transparent trading platforms for derivative transactions. Exchange trading reduces the risk of default between parties. This increases investor confidence and market stability.

### 3. Margin Requirement

Investors need to deposit only a small percentage of the contract value known as margin. Margin trading allows participants to control large positions with limited capital. This increases profit potential but also raises financial risk. Therefore, proper risk management is important in futures trading.

### 4. Obligation to Buy or Sell

Both parties in a futures contract are legally obligated to complete the transaction on the specified future date. The buyer must purchase and the seller must deliver the asset as agreed. This compulsory settlement distinguishes futures from options contracts. It ensures commitment and certainty in transactions.

### 5. Used for Hedging and Speculation

Businesses and investors use futures contracts to reduce price risk and protect against market fluctuations. Speculators also trade futures to earn profits from expected price changes. Hedgers reduce uncertainty, while speculators increase market liquidity. Thus, futures contracts serve multiple financial purposes.

## 2. Options Contracts

An options contract gives the holder the right, but not the obligation, to buy or sell an underlying asset at a predetermined price within a specified period. The buyer pays a premium to obtain this right. Options are widely used for risk management and speculative purposes.

### Types of Options

1. Call Option
2. Put Option

### **a) Call Option**

A call option gives the holder the right to buy an asset at a predetermined price before or on the expiry date. Investors buy call options when they expect the price of the asset to increase. This helps them profit from favorable market movements. However, they are not obligated to exercise the option.

### **b) Put Option**

A put option gives the holder the right to sell an asset at a predetermined price before or on the expiry date. Investors buy put options when they expect the market price to decline. Put options help protect against losses arising from falling prices. They are commonly used for hedging purposes.

#### **Features of Options Contracts**

##### **1. Right but Not Obligation**

Options provide the buyer with the right to buy or sell an asset without any obligation. The holder may choose whether or not to exercise the option depending on market conditions. This flexibility reduces financial risk for the buyer. The maximum loss is generally limited to the premium paid.

##### **2. Premium Payment**

The buyer of an option pays a premium to the seller for obtaining the contractual right. The premium represents the cost of the option contract. It compensates the seller for the risk undertaken. Premiums vary according to market conditions and asset prices.

##### **3. Limited Risk for Buyer**

The maximum loss for the option buyer is restricted to the premium amount paid. Even if market conditions become unfavorable, losses cannot exceed the premium. This makes options less risky compared to futures contracts. Investors often use options for controlled risk exposure.

##### **4. Used for Hedging and Speculation**

Options are used to protect investments from adverse price movements and also to speculate on future market trends. Hedgers reduce financial uncertainty while speculators attempt to earn profits. Options provide flexibility and strategic investment opportunities. This increases their popularity in financial markets.

##### **5. Traded on Exchanges and OTC Markets**

Options can be traded on organized exchanges or over-the-counter (OTC) markets. Exchange-traded options are standardized, while OTC options can be customized according to requirements. Organized trading improves transparency and security. OTC trading provides flexibility for specialized contracts.

### 3. Forward Contracts

A forward contract is a customized agreement between two parties to buy or sell an asset at a specified future date at a predetermined price. These contracts are generally traded in over-the-counter (OTC) markets rather than organized exchanges.

#### Features of Forward Contracts

##### 1. Customized Agreements

Forward contracts are tailored according to the specific needs of the contracting parties. Terms such as quantity, quality, price, and maturity date can be customized. This flexibility makes forwards suitable for specialized business requirements. However, customization reduces market liquidity.

##### 2. Traded in OTC Markets

Forward contracts are privately negotiated between two parties without involving organized exchanges. OTC trading allows greater flexibility and confidentiality. However, lack of exchange regulation increases counterparty risk. Parties must rely on mutual trust and creditworthiness.

##### 3. Obligation to Perform Contract

Both parties are legally obligated to complete the contract on the agreed future date. The buyer must purchase and the seller must deliver the underlying asset. Failure to fulfill the contract may lead to legal consequences. This creates certainty in business transactions.

##### 4. Used for Hedging Risk

Businesses use forward contracts to protect themselves against future price fluctuations in commodities, currencies, or interest rates. Hedging helps stabilize future costs and revenues. This reduces uncertainty in international trade and financial planning. Therefore, forwards are important risk management tools.

##### 5. Higher Counterparty Risk

Since forward contracts are privately negotiated and not exchange-guaranteed, there is a possibility that one party may default. This risk is known as counterparty risk. Proper credit assessment is necessary before entering forward contracts. Counterparty risk is a major limitation of forward trading.

## 4. Swaps

A swap is a derivative agreement in which two parties exchange financial obligations or cash flows for a specified period. Swaps are commonly used for interest rates, currencies, and financial risk management.

### Types of Swaps

1. Interest Rate Swaps
2. Currency Swaps

#### a) Interest Rate Swaps

In an interest rate swap, parties exchange fixed interest payments for floating interest payments. Businesses use these swaps to manage interest rate fluctuations. This helps reduce borrowing costs and financial risk. Interest rate swaps are widely used in corporate finance.

#### b) Currency Swaps

In a currency swap, parties exchange principal and interest payments in different currencies. These swaps help companies manage foreign exchange risk in international transactions. Currency swaps facilitate global trade and investment activities. They also reduce currency-related financial uncertainty.

### Features of Swaps

#### 1. Exchange of Cash Flows

Swaps involve exchanging financial obligations or cash flows between parties. These exchanges may relate to interest rates, currencies, or other financial variables. Swaps help parties manage financial exposures efficiently. They are widely used in international finance.

#### 2. Customized Contracts

Swap agreements are generally customized according to the requirements of the parties involved. Terms regarding duration, payment schedules, and financial variables are negotiated privately. Customization increases flexibility and usefulness. However, it may reduce marketability.

#### 3. Used for Risk Management

Swaps help businesses and financial institutions reduce risks related to interest rates and currency fluctuations. Risk management improves financial stability and planning. Swaps are important tools for multinational companies and large financial institutions. They help minimize uncertainty in financial operations.

#### 4. Traded in OTC Markets

Most swaps are traded privately in over-the-counter markets rather than stock exchanges. OTC trading allows parties to design contracts according to specific needs. However, this also increases counterparty risk. Proper regulation and financial monitoring are therefore essential.

## **5. Long-Term Financial Instrument**

Swaps are generally used for medium-term and long-term financial arrangements. They help organizations manage long-term borrowing and investment risks effectively. Long-term contracts improve predictability in financial planning. This makes swaps valuable for corporate financial management.

## **FINANCIAL INSTRUMENTS**

### **CLASSIFICATION ON THE BASIS OF TIME/TERM**

#### **Short-Term Financial Instruments**

##### **1. Treasury Bills (T-Bills)**

Treasury Bills are short-term securities issued by the Government of India through the Reserve Bank of India to meet temporary financial requirements. They are issued for 91 days, 182 days, and 364 days. These instruments are considered highly secure because they are backed by the government. T-Bills are issued at a discount and redeemed at face value on maturity.

##### **2. Commercial Paper (CP)**

Commercial Paper is an unsecured short-term promissory note issued by large companies to raise working capital funds. It is generally issued for periods ranging from 7 days to 1 year. Only firms with high credit ratings can issue commercial papers. It provides companies with a cheaper source of finance compared to bank loans.

##### **3. Certificate of Deposit (CD)**

A Certificate of Deposit is a negotiable money market instrument issued by banks and financial institutions. It is issued for a fixed period and carries a fixed rate of interest. CDs are mainly used to mobilize short-term funds from investors. They are considered safer investments with relatively stable returns.

##### **4. Call Money**

Call money refers to very short-term funds borrowed and lent among banks and financial institutions. The maturity period usually ranges from one day to fourteen days. It helps banks maintain their reserve requirements and liquidity position. The interest rate in the call money market changes frequently depending on demand and supply of funds.

## **5. Commercial Bills**

Commercial bills are negotiable instruments arising out of credit sales made by businesses. They are used to finance trade transactions and working capital needs. These bills can be discounted with banks before maturity to obtain immediate cash. Commercial bills facilitate smooth business operations and improve liquidity.

## **6. Repurchase Agreements (Repo)**

A repurchase agreement, commonly called Repo, is a short-term borrowing arrangement involving the sale of securities with an agreement to repurchase them later. Banks use repos to meet short-term liquidity needs. The Reserve Bank of India uses repo transactions as an important monetary policy tool. Repo transactions help regulate money supply in the economy.

## **Medium-Term Financial Instruments**

### **1. Medium-Term Loans**

Medium-term loans are loans provided by banks and financial institutions for periods generally ranging from 1 to 5 years. Businesses use these loans for expansion, modernization, and purchase of machinery or equipment. Repayment is usually made in installments along with interest. These loans help firms meet medium-duration financial requirements effectively.

### **2. Debentures (Medium Maturity)**

Medium-term debentures are debt instruments issued by companies to raise funds for a fixed period. Investors receive a fixed rate of interest on these instruments. They are usually secured against company assets, providing safety to investors. Companies use debenture funds for business growth and operational expansion.

### **3. Lease Financing**

Lease financing is an arrangement where a company acquires the right to use an asset without purchasing it immediately. The lessee pays periodic lease rentals to the owner of the asset. It reduces the burden of heavy initial investment on businesses. Lease financing is commonly used for machinery, vehicles, and equipment.

### **4. Hire Purchase Finance**

Hire purchase finance allows businesses or individuals to acquire assets by paying installments over a specified period. Ownership of the asset is transferred only after the final installment is paid. This method helps buyers use expensive assets without making full payment initially. It is widely used for purchasing machinery, automobiles, and equipment.

### **5. Preference Shares (Redeemable)**

Redeemable preference shares are shares issued by companies that can be repurchased after a specified period. Shareholders receive a fixed dividend before equity shareholders. These

shares provide limited risk and stable returns to investors. Companies use them as a medium-term source of finance without diluting control.

## **Long-Term Financial Instruments**

### **1. Equity Shares**

Equity shares represent ownership in a company and provide shareholders voting rights. Equity shareholders receive dividends based on company profits and performance. These shares are considered permanent capital as they are not repayable during the company's lifetime. Equity financing helps companies raise large amounts of long-term capital.

### **2. Long-Term Bonds**

Long-term bonds are debt instruments issued by governments or corporations for periods exceeding five years. Investors receive fixed interest payments at regular intervals until maturity. Bonds are considered relatively stable investment instruments with predictable returns. They are widely used to finance large development and infrastructure projects.

### **3. Debentures**

Debentures are long-term borrowing instruments issued by companies to raise capital from the public. They carry a fixed interest rate and are repayable after a specific period. Debenture holders are creditors of the company and do not possess ownership rights. These instruments are commonly used for business expansion and capital expenditure.

### **4. Government Securities (G-Secs)**

Government securities are long-term debt instruments issued by the Government of India to finance public expenditure. These securities carry very low risk because they are backed by the government. Investors receive fixed interest income periodically. G-Secs are widely preferred by banks, insurance companies, and institutional investors.

### **5. Mutual Funds**

Mutual funds pool money from many investors and invest it in diversified financial assets such as shares and bonds. They are managed by professional fund managers who make investment decisions on behalf of investors. Mutual funds help reduce investment risk through diversification. They are suitable for long-term wealth creation and financial planning.

### **6. Venture Capital**

Venture capital refers to long-term financing provided to startups and innovative businesses with high growth potential. Venture capitalists invest funds in exchange for ownership stakes in the business. This financing supports technological innovation and entrepreneurship development. It is generally considered a high-risk but high-return investment.

## **7. Infrastructure Bonds**

Infrastructure bonds are long-term bonds issued to finance infrastructure projects such as roads, airports, power plants, and railways. These bonds usually offer fixed interest returns to investors. Governments and corporations use them to mobilize funds for national development projects. They also encourage long-term investment in the economy.

## **8. Pension Funds**

Pension funds are investment funds created to provide retirement benefits to employees and individuals. These funds invest mainly in long-term financial instruments for stable growth. Professional managers handle pension fund investments to ensure future financial security. Pension funds play an important role in capital market development and economic growth.

## **Classification of Financial Instruments on the Basis of Type**

Financial instruments can also be classified into Primary Instruments, Secondary Instruments, and Innovative Instruments based on their nature and purpose in the financial market.

### **1. Primary Financial Instruments**

Primary instruments are the original financial claims issued directly by borrowers or companies to raise funds from investors. These instruments create a direct financial relationship between the issuer and the investor.

#### **1. Equity Shares**

Equity shares represent ownership capital of a company and provide shareholders voting rights in management decisions. Equity shareholders receive dividends based on company profits and business performance. These shares are considered permanent capital because they are not repayable during the lifetime of the company. Equity shares help companies raise long-term funds from the public.

#### **2. Preference Shares**

Preference shares are shares that provide shareholders a fixed dividend before equity shareholders receive dividends. They generally do not carry voting rights except in special situations. Preference shareholders have priority over equity shareholders during liquidation of the company. These shares combine features of both equity and debt instruments.

#### **3. Debentures**

Debentures are long-term debt instruments issued by companies to borrow money from investors. They carry a fixed rate of interest and are repayable after a specified period. Debenture holders are creditors of the company and do not possess ownership rights. Companies use debentures to finance expansion and capital expenditure.

#### **4. Bonds**

Bonds are fixed-income securities issued by governments, corporations, or financial institutions to raise long-term funds. Investors receive regular interest payments and repayment of principal on maturity. Bonds are considered relatively safer investments compared to equity shares. They are widely used for financing infrastructure and development projects.

#### **5. Government Securities (G-Secs)**

Government securities are financial instruments issued by the Government of India through the Reserve Bank of India to finance public expenditure. These securities are highly secure because they are backed by the government. Investors receive fixed interest at regular intervals until maturity. G-Secs play an important role in the capital market and monetary system.

### **2. Secondary Financial Instruments**

Secondary instruments are financial claims created by financial intermediaries based on primary securities. These instruments facilitate liquidity, credit creation, and financial market operations.

#### **1. Bank Deposits**

Bank deposits are funds placed by customers in banks for safekeeping and earning interest. Banks use these deposits to provide loans and create credit in the economy. Deposits may be savings, current, or fixed deposits depending on customer requirements. They are considered one of the safest financial instruments.

#### **2. Mutual Funds**

Mutual funds collect money from numerous investors and invest it in diversified portfolios of securities such as shares and bonds. Professional fund managers manage these investments to maximize returns and reduce risks. Mutual funds provide small investors access to capital market opportunities. They are suitable for long-term investment and wealth creation.

#### **3. Insurance Policies**

Insurance policies are financial contracts that provide protection against financial losses arising from risks such as death, accidents, fire, or health problems. Policyholders pay premiums to insurance companies in exchange for coverage. These instruments provide financial security and risk management benefits. Insurance also promotes long-term savings and investment.

#### **4. Pension Funds**

Pension funds are investment schemes designed to provide retirement income to employees and individuals. Contributions are invested in long-term financial assets to generate stable returns over time. Professional fund managers handle these investments to ensure future financial security. Pension funds contribute significantly to capital market development.

## **5. Leasing and Hire Purchase**

Leasing and hire purchase are financing arrangements that help businesses acquire assets without immediate full payment. In leasing, the asset is rented for a specified period, while in hire purchase ownership is transferred after final payment. These instruments support industrial growth and business expansion. They reduce the burden of large initial investments.

## **3. Innovative Financial Instruments**

Innovative financial instruments are modern financial products developed to meet changing market needs, manage risks, and improve investment opportunities. These instruments are often technology-driven and highly flexible.

### **1. Derivatives**

Derivatives are financial contracts whose value is derived from underlying assets such as shares, commodities, currencies, or interest rates. Common derivatives include futures, options, swaps, and forwards. These instruments are mainly used for hedging risk and speculative purposes. Derivatives improve market efficiency and liquidity.

### **2. Exchange Traded Funds (ETFs)**

ETFs are investment funds traded on stock exchanges like ordinary shares. They usually track stock indices, commodities, or sectors and provide diversified investment opportunities. ETFs combine the features of mutual funds and equity shares. They offer lower costs, flexibility, and easy market access to investors.

### **3. Green Bonds**

Green bonds are debt instruments issued to finance environmentally sustainable projects such as renewable energy, pollution control, and clean transportation. These bonds support sustainable development and climate-related initiatives. Investors are attracted to green bonds because they combine financial returns with environmental responsibility. Green bonds have gained importance in sustainable finance markets.

### **4. Digital Payment Instruments**

Digital payment instruments include UPI, mobile wallets, prepaid cards, and internet banking systems used for electronic financial transactions. These instruments promote cashless transactions, convenience, and financial inclusion. The growth of fintech has significantly expanded the use of digital payment systems in India. They improve transaction speed, transparency, and efficiency.

### **5. Cryptocurrency**

Cryptocurrency is a digital or virtual currency that uses blockchain technology and cryptographic techniques for secure transactions. Popular cryptocurrencies include Bitcoin and Ethereum. These currencies operate independently of central banks and governments.

Cryptocurrencies are highly volatile but have become important innovative financial assets in global markets.

## **FINANCIAL SERVICES :**

### **Asset/Fund-Based Financial Services and Their Classification**

Asset/Fund-based financial services are services in which finance is provided through assets or funds to individuals and businesses. These services help in financing consumption, business expansion, investment, and risk management.

#### **1. Leasing**

Leasing is a financial arrangement in which the owner of an asset (lessor) gives another party (lessee) the right to use the asset for a fixed period in return for periodic payments called lease rentals. Ownership of the asset remains with the lessor during the lease period. It helps businesses acquire machinery, vehicles, or equipment without heavy initial investment. Leasing improves operational efficiency and reduces capital burden.

#### **2. Hire Purchase**

Hire purchase is a financing system in which a buyer acquires an asset by paying installments over a specific period. The buyer can use the asset immediately, but ownership is transferred only after payment of the final installment. This method reduces the burden of making a large payment at once. Hire purchase is commonly used for vehicles, machinery, and consumer durables.

#### **3. Consumer Credit**

Consumer credit refers to short-term or medium-term loans provided to individuals for purchasing goods and services such as automobiles, electronics, education, or household products. Financial institutions allow repayment through installments over a specified period. It increases purchasing power and improves living standards. Consumer credit promotes demand in the economy.

#### **4. Bill Discounting**

Bill discounting is a financial service in which banks or financial institutions provide immediate funds against trade bills before their maturity period. The institution deducts a small amount as discount charges and pays the remaining balance to the business. It helps firms improve liquidity and maintain smooth working capital. Bill discounting supports uninterrupted business transactions.

#### **5. Venture Capital**

Venture capital is long-term financial assistance provided to startups and innovative businesses with high growth potential. Venture capital investors provide funds in exchange for ownership or equity participation in the company. It supports entrepreneurship, innovation, and business expansion. Although risky, venture capital offers high return opportunities.

## **6. Housing Finance**

Housing finance refers to loans provided for purchasing, constructing, renovating, or repairing residential properties. Banks and housing finance institutions provide long-term finance with repayment through monthly installments. It helps individuals fulfill homeownership needs without immediate full payment. Housing finance promotes real estate development and economic growth.

## **7. Insurance**

Insurance is a financial service that provides protection against financial losses arising from risks such as accidents, illness, fire, theft, or death. Policyholders pay premiums to insurance companies in exchange for risk coverage. Insurance provides financial security and stability to individuals and businesses. It also promotes savings and investment habits.

## **8. Factoring**

Factoring is a financial service where a business sells its accounts receivable (debts due from customers) to a financial institution called a factor. The factor provides immediate cash and later collects payments from customers. It improves business liquidity and reduces credit collection burden. Factoring helps firms manage working capital efficiently.

## **Fee-Based Financial Services**

Fee-based financial services are services in which financial institutions earn income mainly through fees, commissions, or service charges instead of directly providing funds. These services mainly involve advisory, management, and consultancy activities.

### **1. Merchant Banking**

Merchant banking refers to financial services provided to companies for activities such as issue management, underwriting, project counseling, and corporate advisory services. Merchant bankers assist companies in raising capital from the market. They also provide guidance on mergers, acquisitions, and investment decisions. Merchant banking plays an important role in capital market development.

### **2. Credit Rating**

Credit rating is the process of evaluating the creditworthiness and repayment capacity of borrowers or financial instruments. Specialized agencies assign ratings based on financial strength and risk level. Higher ratings indicate lower default risk and greater investor confidence. Credit ratings help investors make informed investment decisions.

### Examples of Credit Rating Agencies

- CRISIL
- ICRA
- CARE Ratings

### 3. Stock Broking

Stock broking is a service through which brokers buy and sell securities on behalf of investors in the stock market. Stock brokers act as intermediaries between investors and stock exchanges. They earn commission or brokerage fees for their services. Stock broking facilitates smooth trading and investment activities in the capital market.

#### Examples

- Zerodha
- Angel One

### 4. Mergers and Acquisitions (M&A)

Mergers and acquisitions involve combining or purchasing companies for business expansion and strategic growth. Financial institutions provide advisory services related to valuation, negotiation, and legal procedures. M&A activities help companies achieve economies of scale and market expansion. Advisors earn fees for consultation and transaction management.

### 5. Issue Management

Issue management refers to managing the process of issuing securities such as shares or debentures to the public. Merchant bankers assist companies in preparing prospectuses, pricing securities, underwriting, and complying with regulations. This service ensures smooth mobilization of funds from the capital market. It is an important activity in primary market operations.

### 6. Portfolio Management

Portfolio management involves managing investments in securities such as shares, bonds, and mutual funds on behalf of investors. Portfolio managers aim to maximize returns while minimizing investment risk. They continuously analyze market conditions and investment opportunities. Investors pay management fees for professional investment services.

### 7. Corporate Counselling

Corporate counselling refers to advisory services provided to companies regarding financial planning, project management, expansion, and business strategies. Financial experts help firms improve operational efficiency and profitability. These services support better managerial and investment decisions. Corporate counselling is important for long-term business growth.

## 8. Corporate Restructuring

Corporate restructuring involves reorganizing the financial, operational, or ownership structure of a company to improve performance and stability. It may include mergers, demergers, debt restructuring, or organizational changes. Financial consultants guide companies through restructuring processes. The objective is to enhance efficiency, profitability, and competitiveness.

### **Emerging Areas in Financial Management:**

#### **Risk Management**

##### **Meaning of Risk Management**

Risk Management is an important emerging area in financial management that involves identifying, analyzing, measuring, monitoring, and controlling financial risks faced by an organization. The objective is to minimize potential losses and maximize the value of the firm by making informed financial decisions. In today's dynamic business environment, organizations face various risks arising from market fluctuations, technological changes, economic uncertainty, globalization, and regulatory requirements.

Financial risk management helps businesses protect their assets, maintain profitability, ensure liquidity, and achieve long-term sustainability. Modern financial managers use advanced analytical tools, forecasting techniques, insurance mechanisms, and financial derivatives to manage risks effectively.

##### **Features of Risk Management**

###### **1. Risk Identification**

Risk management begins with identifying potential threats that may affect the organization's financial performance. These risks may arise from market changes, operational issues, technological failures, or economic uncertainties.

###### **2. Risk Assessment and Measurement**

After identifying risks, their probability of occurrence and potential impact are evaluated. This helps managers understand the severity of risks and prioritize them effectively.

###### **3. Proactive Decision-Making**

Risk management emphasizes taking preventive measures before problems occur. Organizations develop strategies and contingency plans to reduce the likelihood and impact of future losses.

#### **4. Continuous Monitoring**

Risks constantly change due to market and business conditions. Therefore, organizations regularly monitor risk factors and update their risk management strategies when necessary.

#### **5. Protection of Organizational Assets**

Risk management safeguards the company's financial, physical, and intellectual assets. Various control measures, insurance policies, and security systems are used to minimize losses.

#### **6. Use of Financial Derivatives**

Financial instruments such as futures, options, forwards, and swaps are used to hedge against financial risks. These tools help reduce uncertainty related to interest rates, exchange rates, and commodity prices.

#### **7. Diversification of Risk**

Organizations spread investments across different assets, projects, or markets to reduce overall risk. Diversification ensures that losses in one area do not severely affect the entire business.

#### **8. Compliance with Regulations**

Risk management helps organizations comply with financial laws, regulations, and corporate governance standards. Compliance reduces legal penalties and enhances the firm's reputation.

#### **9. Enhancement of Shareholder Value**

Effective risk management protects profits and reduces financial uncertainty. This increases investor confidence and contributes to higher shareholder wealth over the long term.

#### **10. Strategic Integration**

Risk management is incorporated into major financial and business decisions. It helps ensure that organizational goals are achieved while maintaining an acceptable level of risk.

## **Behavioural Finance**

### **Meaning**

Behavioural Finance is an emerging area of financial management that studies how psychological, emotional, and social factors influence the financial decisions of investors, managers, and consumers. Unlike traditional finance, which assumes that people always make rational decisions, behavioural finance recognizes that individuals often make decisions based on emotions, biases, and personal beliefs.

Behavioural finance explains why investors sometimes buy overvalued stocks, panic during market crashes, hold losing investments for too long, or follow market trends without proper analysis. It combines principles from finance, psychology, and economics to understand real-world financial behavior.

### **Features of Behavioural Finance**

#### **1. Focus on Human Psychology**

Behavioural finance emphasizes the role of human emotions and psychological factors in financial decision-making. It recognizes that investors are not always rational when making investment choices.

#### **2. Presence of Cognitive Biases**

Investors often make decisions based on mental shortcuts or biases rather than objective analysis. These biases can lead to errors in judgment and poor investment outcomes.

#### **3. Influence of Emotions**

Fear, greed, overconfidence, and regret significantly affect financial decisions. Emotional reactions often cause investors to buy or sell investments at inappropriate times.

#### **4. Challenges the Traditional Finance Theory**

Traditional finance assumes that markets are efficient and investors act rationally. Behavioural finance argues that irrational behavior can create market anomalies and pricing errors.

#### **5. Explains Market Anomalies**

Behavioural finance helps explain phenomena such as stock market bubbles, crashes, and excessive volatility. These events often occur because of collective investor behavior rather than fundamental factors.

#### **6. Herding Behaviour**

Investors frequently follow the actions of others instead of conducting independent analysis. This tendency can contribute to market booms and financial crises.

## **7. Overconfidence Among Investors**

Many investors overestimate their knowledge and ability to predict market movements. Overconfidence may lead to excessive trading and increased investment risk.

## **8. Loss Aversion**

People generally feel the pain of losses more strongly than the satisfaction of equivalent gains. As a result, investors may hold losing investments longer than necessary.

## **9. Practical Decision-Making Approach**

Behavioural finance studies actual investor behavior in real-world situations. It provides a more realistic understanding of financial decision-making than purely theoretical models.

## **10. Improves Financial Planning**

Understanding behavioral biases helps financial managers and advisors design better investment strategies. This leads to more effective risk management and improved financial outcomes.

## **Financial Engineering Meaning**

Financial Engineering is an emerging area of financial management that involves the application of mathematical models, statistical techniques, computer technology, and financial theories to design innovative financial products and solve complex financial problems. It helps organizations manage risks, optimize investments, improve financing decisions, and create customized financial solutions.

Financial engineering has gained importance due to globalization, technological advancements, market volatility, and the growing use of financial derivatives such as futures, options, swaps, and structured products.

## **Features of Financial Engineering**

### **1. Use of Mathematical and Statistical Models**

Financial engineering relies on mathematical formulas and statistical techniques to analyze financial data and predict future outcomes. These models help in pricing securities, assessing risks, and making investment decisions.

## **2. Development of Innovative Financial Products**

It focuses on creating new financial instruments and investment products to meet the changing needs of investors and businesses. Examples include derivatives, structured products, and asset-backed securities.

## **3. Risk Management Orientation**

Financial engineering helps organizations identify, measure, and manage financial risks. Various hedging strategies are developed to reduce exposure to market uncertainties.

## **4. Application of Technology**

Advanced computer software, algorithms, and data analytics are extensively used in financial engineering. Technology improves the speed and accuracy of financial decision-making.

## **5. Use of Financial Derivatives**

Financial engineers utilize derivatives such as futures, options, forwards, and swaps to manage risk and enhance returns. These instruments provide protection against adverse market movements.

## **6. Customized Financial Solutions**

Financial engineering develops tailor-made financial strategies based on the specific requirements of investors, firms, or financial institutions. This increases flexibility in financial planning.

## **7. Optimization of Investment Decisions**

It assists in selecting the best investment alternatives by balancing risk and return. Optimization techniques help maximize portfolio performance.

## **8. Interdisciplinary Approach**

Financial engineering combines concepts from finance, economics, mathematics, statistics, and computer science. This integrated approach enables the solution of complex financial problems.

## **9. Enhances Market Efficiency**

By introducing innovative products and pricing mechanisms, financial engineering improves liquidity and efficiency in financial markets. It facilitates better allocation of financial resources.

## **10. Supports Corporate Financial Management**

Financial engineering assists firms in capital structure decisions, fundraising, cash flow management, and risk mitigation. This contributes to improved financial performance and value creation.

### **Derivatives**

#### **Meaning**

Derivatives are financial instruments whose value is derived from an underlying asset such as stocks, bonds, commodities, currencies, interest rates, or market indices. The value of a derivative changes according to the price movements of the underlying asset. Derivatives are widely used for risk management, speculation, and arbitrage purposes.

Common types of derivatives include futures, options, forwards, and swaps. These instruments help investors and businesses protect themselves against uncertainties arising from fluctuations in market prices, interest rates, and exchange rates.

#### **Features of Derivatives**

##### **1. Value Derived from Underlying Assets**

The value of a derivative depends on the performance of an underlying asset such as a stock, commodity, currency, or index. Any change in the underlying asset's price affects the derivative's value.

##### **2. Tool for Risk Management**

Derivatives are commonly used to hedge against financial risks. They help businesses and investors protect themselves from adverse movements in prices, interest rates, or exchange rates.

##### **3. High Leverage**

Derivatives allow investors to control a large value of assets with a relatively small investment. This increases the potential for both higher profits and greater losses.

#### **4. Contractual Agreement**

A derivative is essentially a contract between two or more parties. The terms specify the rights and obligations related to the underlying asset and settlement process.

#### **5. Variety of Underlying Assets**

Derivatives can be based on different assets, including equities, bonds, commodities, currencies, interest rates, and market indices. This provides flexibility for various financial needs.

#### **6. Used for Speculation**

Investors often use derivatives to profit from expected price movements in financial markets. Speculation can increase returns but also involves significant risk.

#### **7. Facilitates Price Discovery**

Derivative markets help determine the future expected price of assets. This information assists investors, businesses, and policymakers in making financial decisions.

#### **8. Enhances Market Liquidity**

The trading of derivatives increases market activity and liquidity. Higher liquidity enables investors to buy and sell financial instruments more easily.

#### **9. Standardized or Customized Contracts**

Some derivatives, such as futures, are standardized and traded on exchanges, while others, such as forwards and swaps, are customized agreements traded privately.

#### **10. Settlement at a Future Date**

Most derivative contracts are settled at a specified future date. Settlement may occur through physical delivery of the asset or through cash payment.